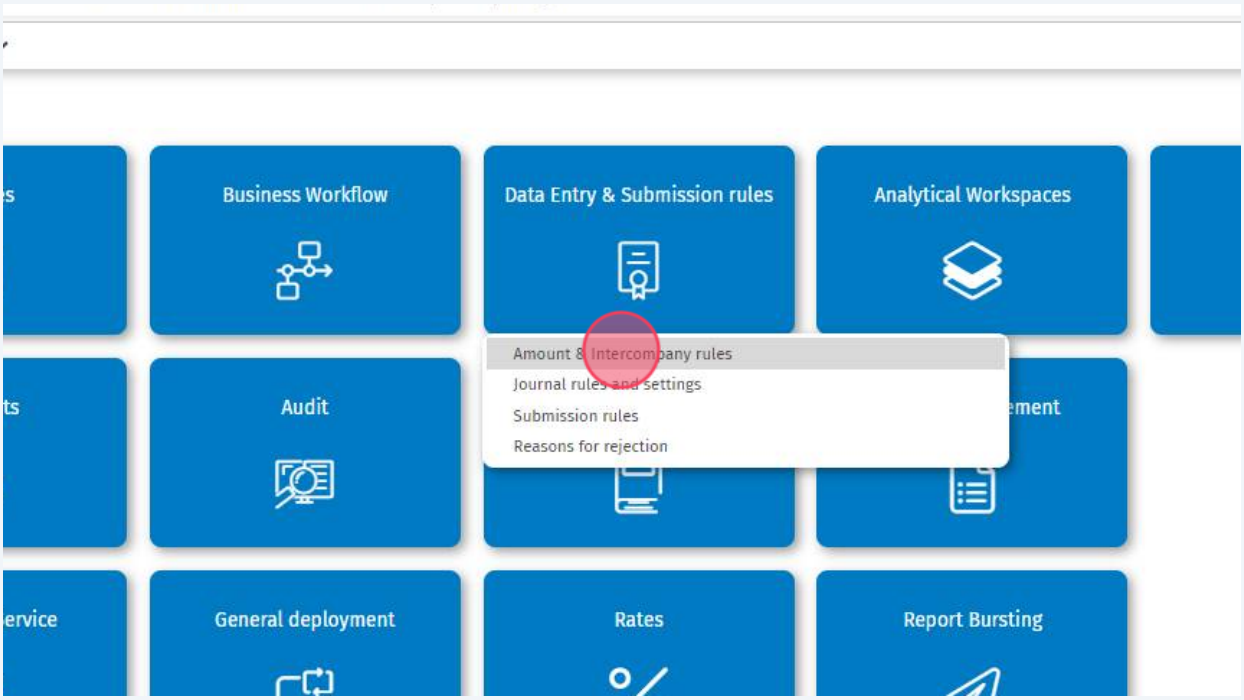
Step-by-Step Guide: Navigating and Editing Intercompany Transactions and Consolidation

Raymond Chabot Grant Thornton

Data Entry & Submission rules

Amount & Intercompany rules:
The user can set up a data entry rule the system uses during data entry. Each data collection process uses this rule by default, therefore this is the "default rule". The user can, according to their needs, override the default settings for a given process to get a different system behaviour for that process.

1 Click "Amont & Intercompany rules"



•

Managed Dimensions:
Enables, for each custom dimension managed, the use of the custom dimension in the management of amounts, IC entries and reconciliation accounts.

Intercompany:
Enable additional fields on IC.
* No
* Only information for document (this is used by the aumotatic document matching procedre when it is required to match the documents with the same invoice number, document date.
* Information for document and amount type

- Copy intercompany to gross amounts. When this option is enabled, the system diagnoses IC data and third parties all together. Otherwise, it diagnoses IC data and Gross data separately.

- Allow intercompany to gross amounts: If NOT enabled, Entity X can enter IC data towards all entities of the process but itself.
Important: The possibility of declaring ICs within the same Entity is useful, for example, to eliminate the dividends received from group Entities to profits brought forward, or to eliminate the results of self-invoicing.

Define CTP Custom dimension 2 with Entity default element: When this option is enabled, the system, during IC data entry, automatically sets the CTP Custom dimension 2 with the default element of the custom dimension 2 specified on the Entity.

Transaction currency:
The settings in this section concern the currency in which a transaction was carried out independently of the currency of the Entity that carried it out.

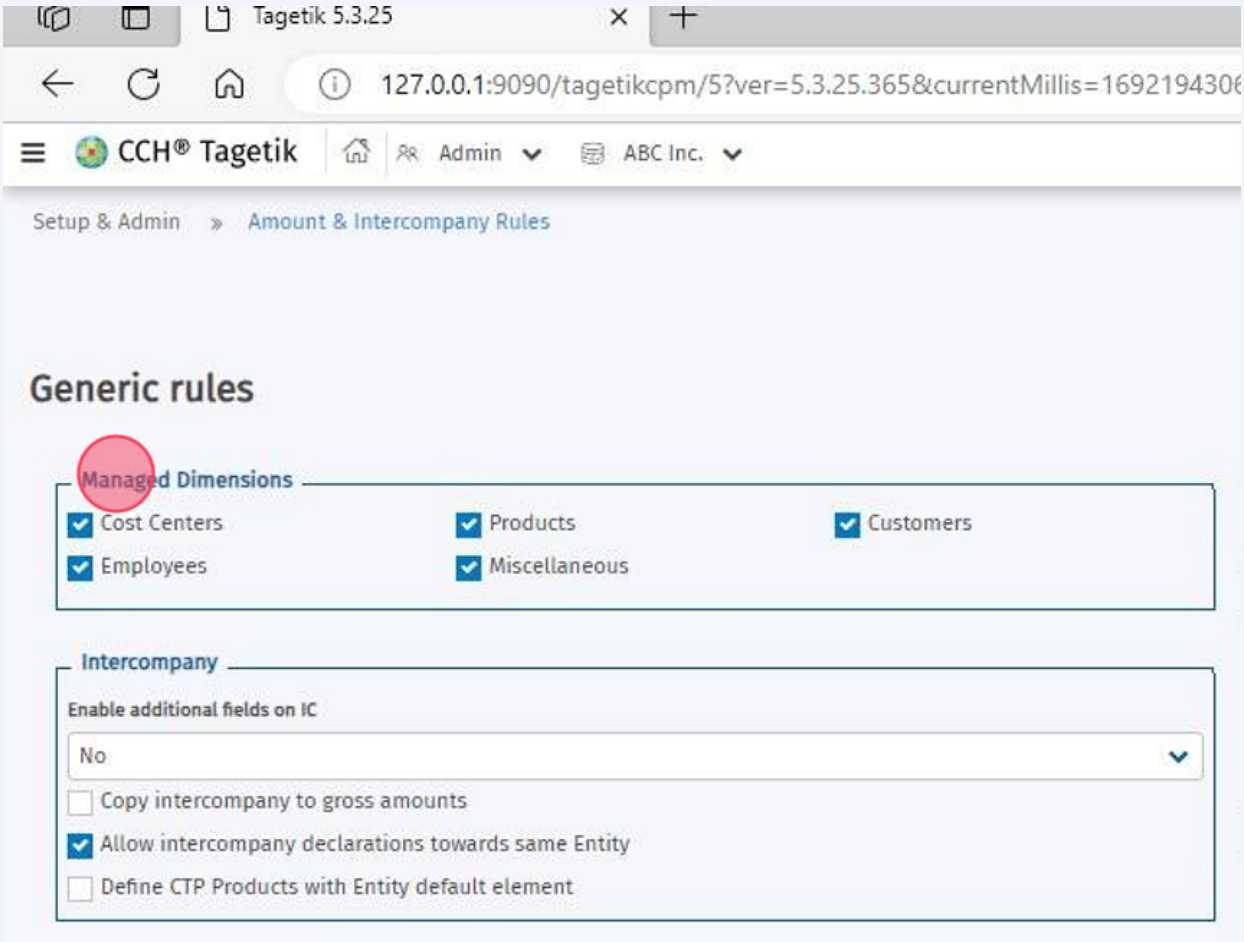
Manage on gross amount. Enables the possibility of managing the transaction currency and the transaction currency amount on gross balances.

Manage on IC amounts. Enables the possibility of managing the transaction currency and the transaction currency amount on IC balances.

Keep transaction currency on consolidated gross amount. Keeps the detail of the transaction currency on consolidated balances.

Use detail window to input gross & IC amounts on transaction currency. When this option is enabled, the input of data (gross and IC amounts), if the transaction currency is managed, inside the form must be done from the management window and not directly from the cell.

2



Editability:
Edit data with ETL origin:
Allows editing data entered via ETL procedure in manual operations (with "ETL_*" origin).

Save data in form incrementally:
When this option is enabled, the system, during data entry from form, creates a row for each modification of data every time the user saves data.

The "Break back" utility allows performing the data entry from form at node level for particular needs.

Always write on reference element:
If the break back functionality is enabled, this specifies whether, during data entry from form, the value entered on the node should always be attributed to the reference lowest level element of the node or split on the lowest elements associated with the node proportionally to the former value.

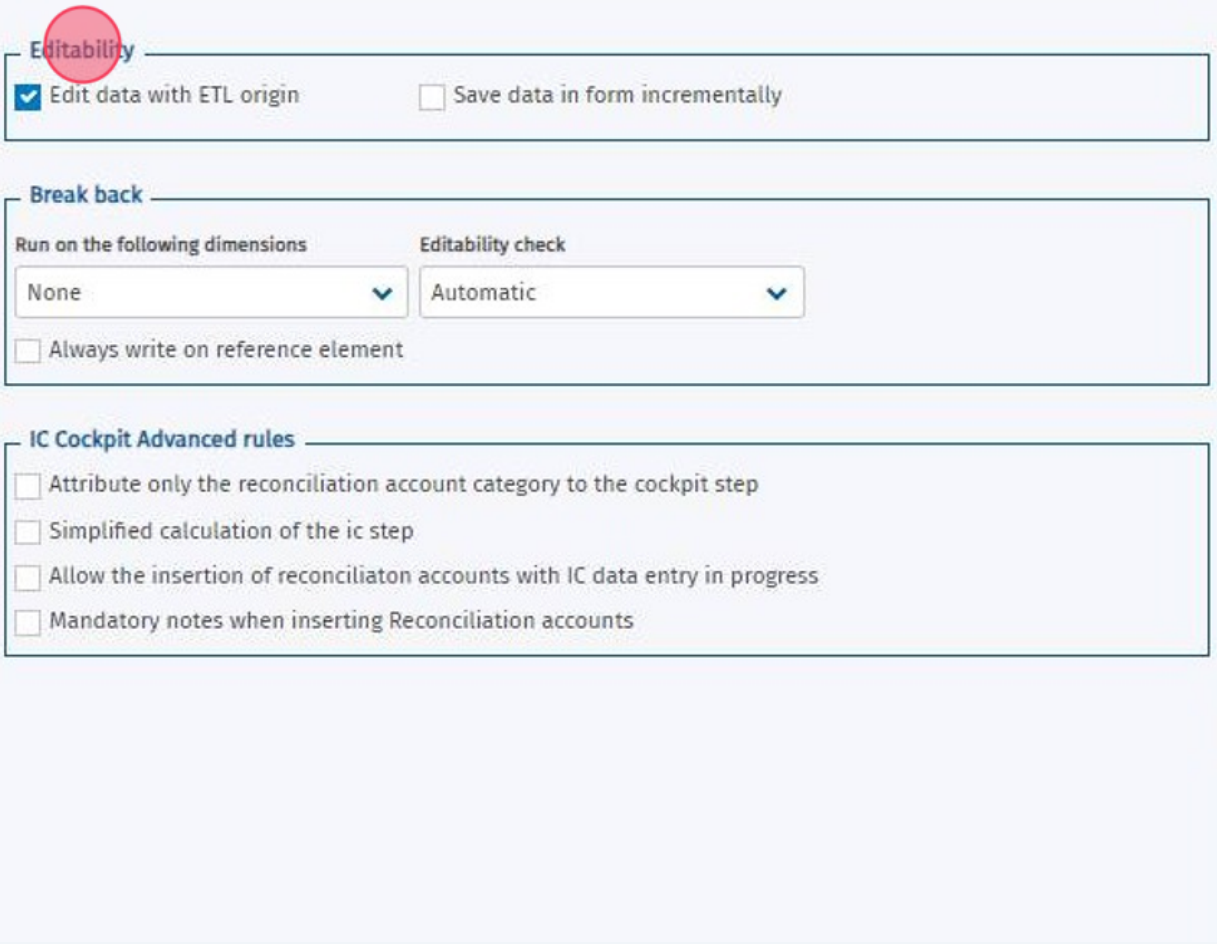
Attribute only the reconciliation account category to the cockpit step:
If it is enabled, the system considers as IC step for the account /categories pairs of the cockpit whose category is the reconciliation account,

Simplified calculation of the IC step. If it is enabled, the system, for the account / category pairs that do not belong to the cockpit, instead of the above-mentioned calculation, in the presence of overrides considers as IC step the one overridden, otherwise the gross one

Allow the insertion of reconciliation accounts with IC data entry in progress:
When this option is enabled, the entry of the reconciliation accounts is always allowed, regardless of the status of the Entities of the relationship on the matching cockpit.

Mandatory notes when inserting Reconciliation accounts. This option makes it mandatory to enter notes when uploading the reconciliation accounts.

3


Editability
Edit data with ETL origin
Save data in form incrementally
Break back
Run on the following dimensions
Editability check
None
Automatic
Always write on reference element
IC Cockpit Advanced rules
Attribute only the reconciliation account category to the cockpit step
Simplified calculation of the ic step
Allow the insertion of reconciliaton accounts with IC data entry in progress
Mandatory notes when inserting Reconciliation accounts

Spreading:
Intercompany Spreading display method:
Is the IC spreading functionality is used, this allows you to tell the system how IC data have to be displayed during data entry. Possible values:

*All data. The system displays both the original declarations and the write-off and reallocation movements.
*Original data. The system displays only the original declarations
*Only reallocations. The system displays only data related to the reallocations on the Ctp custom dimension 2

Custom dimension 2 granularity. Granularity (by lowest level element or by node) with which the spreading IC functionality works.

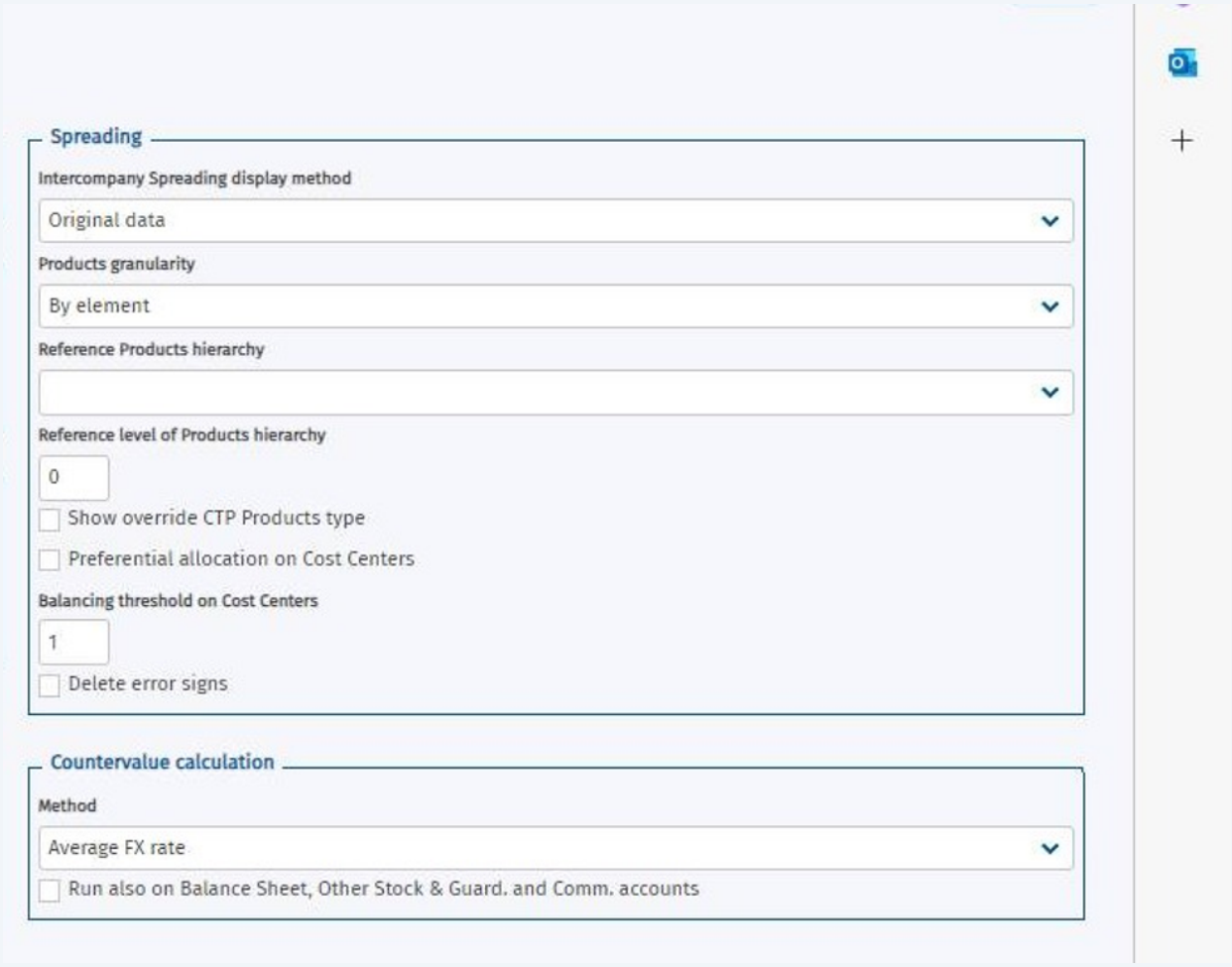
Reference Custom Dimension 2 hierarchy. In case of "By node" granularity, it indicates the hierarchy defined on the custom dimension 2 to be used.

Reference level of Custom Dimension 2 hierarchy. In case of "By node" granularity, it indicates the level of the hierarchy defined on the custom dimension 2 to be used to select the available nodes

Countervalue calculation
Conversion. FX rate the system uses in the countervalue calculation to convert the accounts whose conversion type is "P&L FX rate". Tagetik accepts the following FX rates:

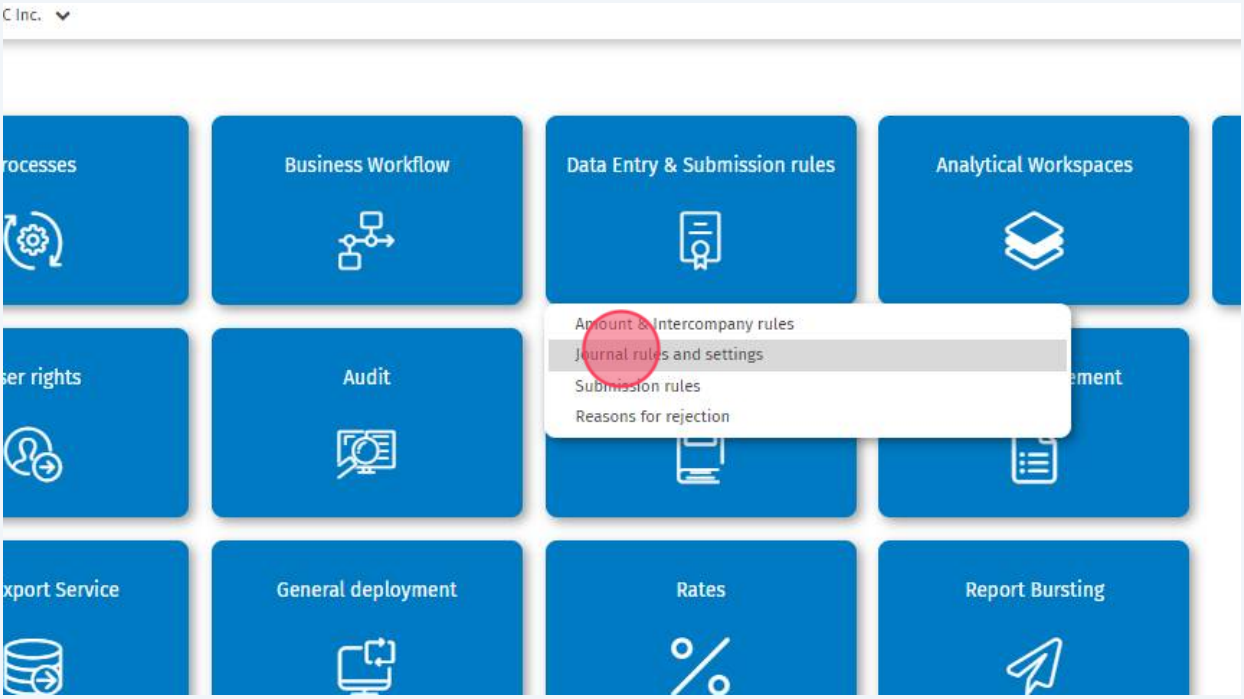
Average FX rate
Period average FX rate
Final FX rate
Override Period average FX rate on P&L or on Variations accounts.

4


Spreading
Intercompany Spreading display method
Original data
Products granularity
By element
Reference Products hierarchy
Reference level of Products hierarchy
0
Show override CTP Products type
Preferential allocation on Cost Centers
Balancing threshold on Cost Centers
1
Delete error signs
Countervalue calculation
Method
Average FX rate
Run also on Balance Sheet, Other Stock & Guard. and Comm. accounts

Select Journal rules and settings

5 Journal rules & settings:
The user can set up an advanced rule to configure some settings for the journals data entry. By default, each data collection process uses this rule, which is therefore the "default advanced journal rule". The user can, according to their needs, override the default settings for a given process to get a different system behaviour for that process.



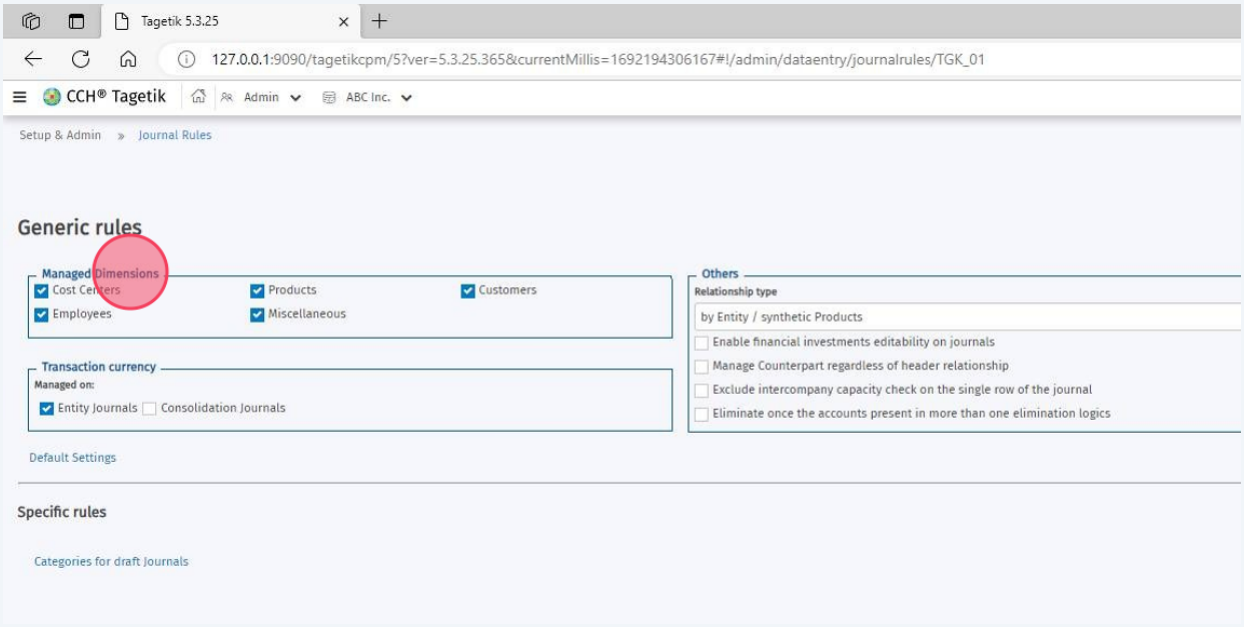
Managed dimensions:
Enables, for each custom dimension managed, the use of the custom dimension in the journals management.

Managed on:

Entity journals. Enables the possibility to manage the transaction currency and the transaction currency amount on the rows of an entity journal

Consolidation journal. Enables the possibility to manage the transaction currency and the transaction currency amount on the rows of a consolidation journal

6



Others:
Shows how the declaring / counterparty relationships are defined. A relationship can be:
By entity
By entity - custom dimension 2
By entity / synthetic custom dimension 2

Enable financial investments editability on journals. Overrides the editability of F.I. accounts on journals.

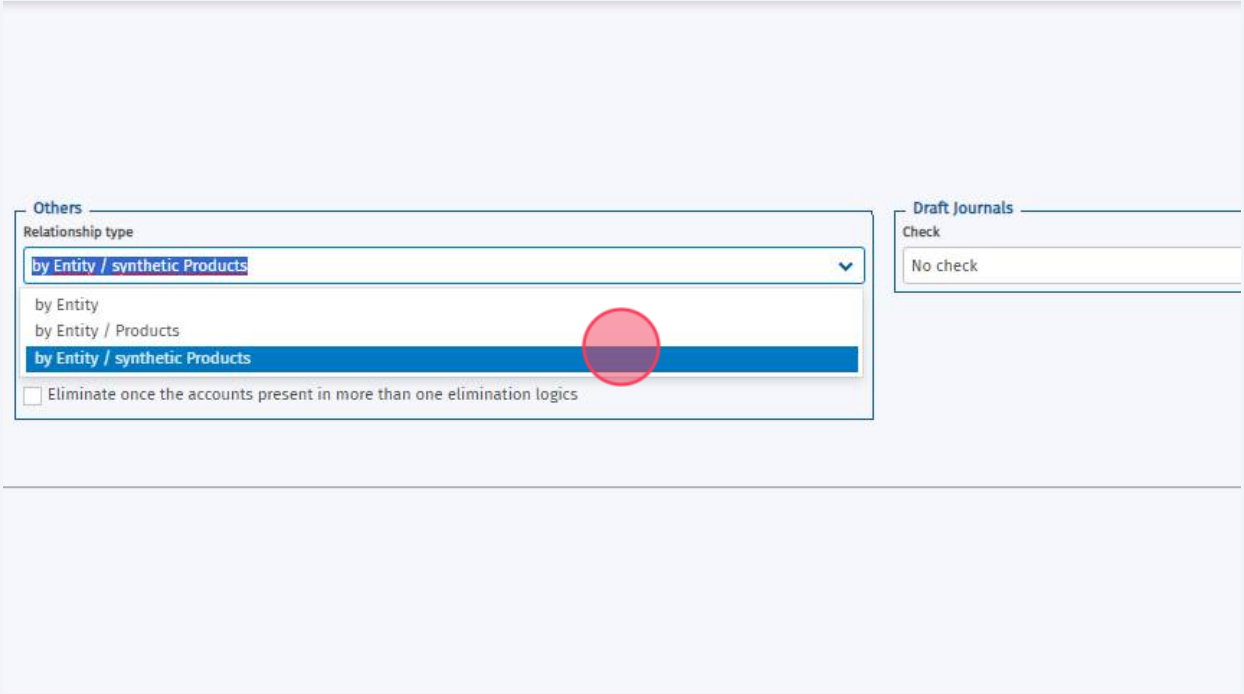
Manage Ctp regardless of header relationship. When this option is enabled, the system, during the editing of the consolidation journals, allows the user to specify as Ctp Entity an Entity other than the one defined in the header of the journal (regardless of the value of the "Many to many relationship" field). This option applies also to the Ctp custom dimension 2, if managed.

Exclude intercompany capacity check on the single row of the journal. When this option is enabled, the system, when saving an entity journal row, does not require as mandatory the definition of the Ctp Entity when the following conditions apply:

* the account of the row manages the ICs
* in the validation rules linked to the process for which the data entry is carried out, the "IC Capacity check" is set to "Check ="

This option is useful when the IC capacity check is set up by category node.

7



Categories for draft journals: You can enable a feature which allows the user to set the journals to a new status: Draft. This new status allows working on the journal without affecting the result of the data processing and the reporting of data.

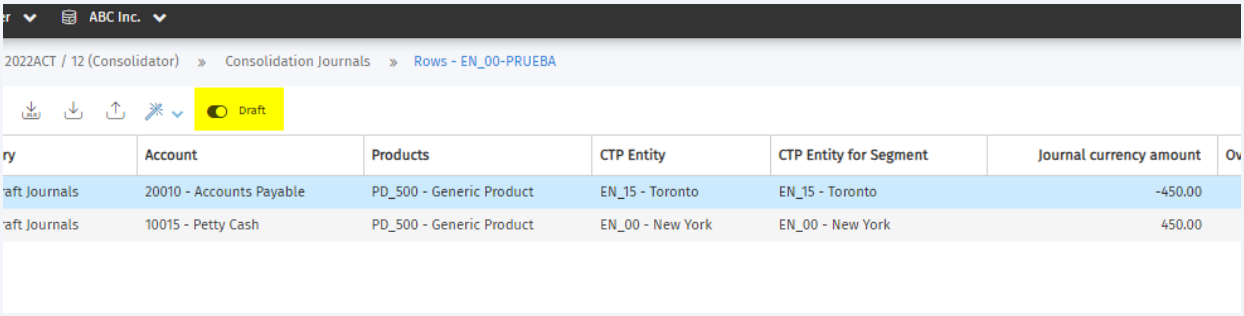
8

From Journal Rules you can use "Categories for draft journals". This functionality is enabled by category. More specifically, it is possible to enable the functionality for the categories of the following type: Entity journals, Entity journals of the consolidator and Consolidation journals.

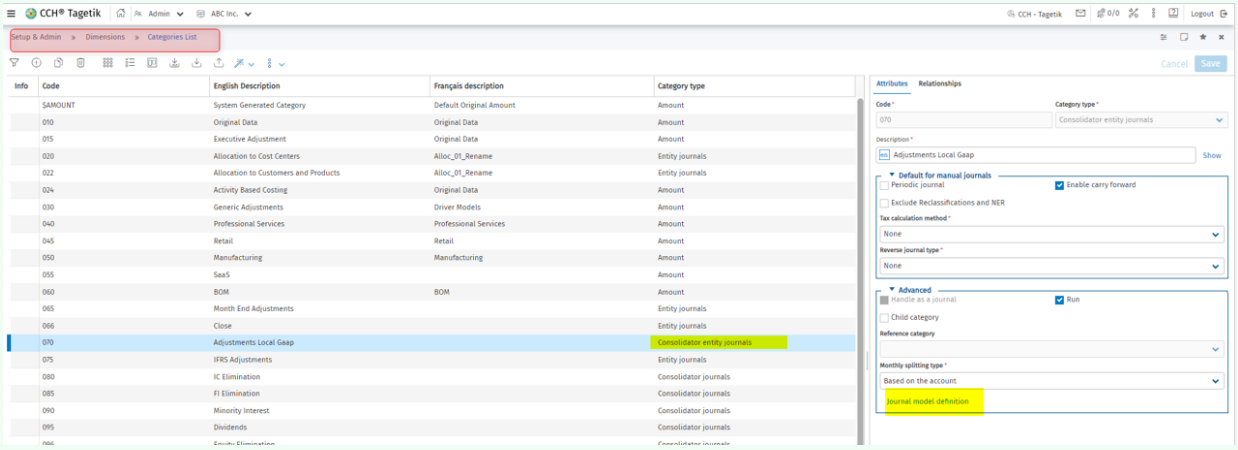


9 When a journal is a draft, then the rows that are already present in the journal are locked but are still visible and continue to impact the result of the data processing and reports.

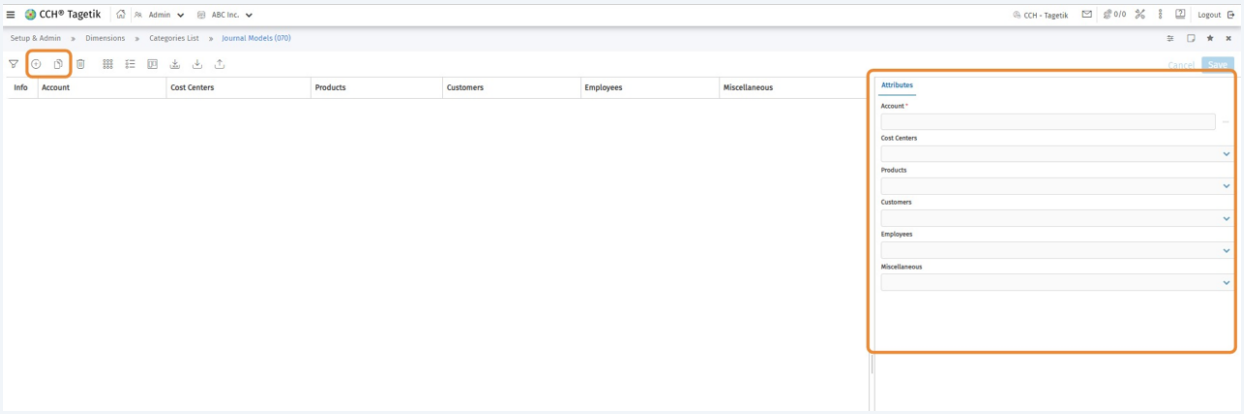
The new rows that the user will insert will instead be inserted in a staging area that is invisible to the data processing and reports. These new rows will remain in this area up until the user decides to post his work on the journal.



Journals model page: From the Category dimension path " List " Journal models, we can set the default data in the journal that we want to appear by default when we decide to make a journal.



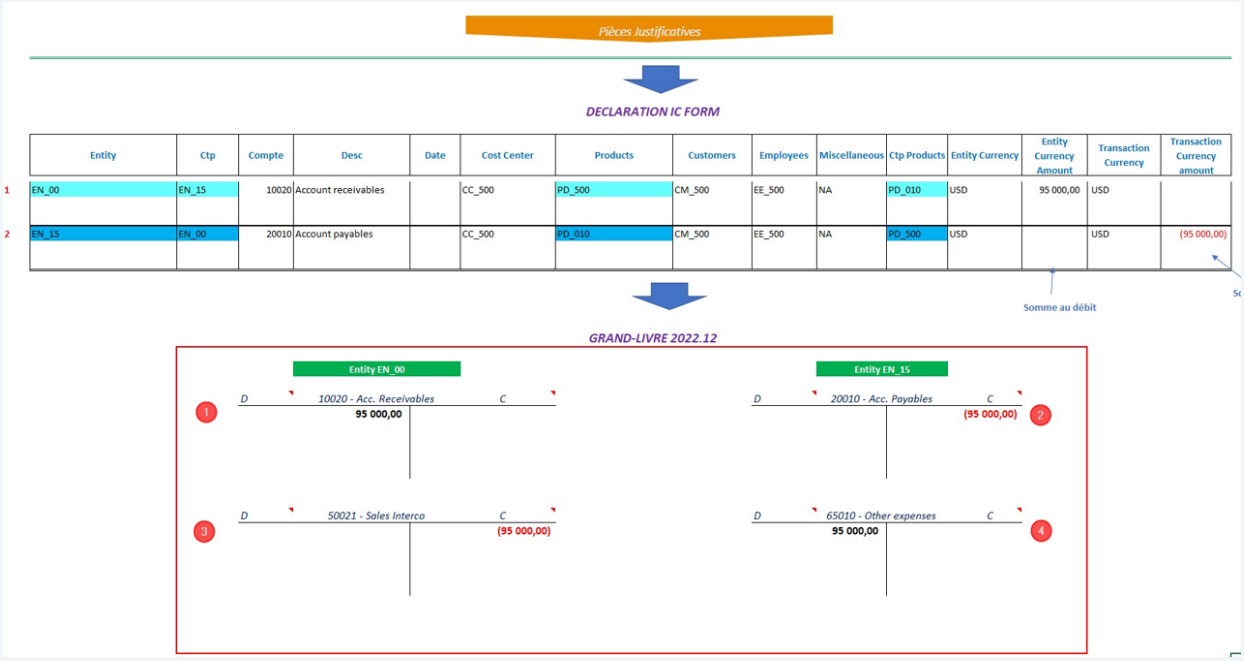
10 Add or clone the line and leave the parameters set in the attribute column.



•

⚠ Step-by-step for consolidation journal entry from user mode.

11 The folowwing is an example of an accounting scheme to explain how a Consolidation Journal with CTP Cust Dim 2 and CTP Segment work and then we will see the step by step the exercise according to this example.



The fields Ctp Entity for Segment and Ctp Custom dimension 2 for Segment exist in the consolidation journals and contain information which allows the analysis of aggregated data for Segment through the reporting system.

Thus, when the Rules Engine Designer data processing involves the Entity or the Ctp Custom dimension 2 it is important to manage the dimensions of the same name related to the Segment.

Important to know. When the Ctp Entity field is enabled on the rule, the management of the Ctp Entity for Segment is also enabled, and when the Ctp Custom dimension 2 is enabled, the management of the Ctp Custom Dimension 2 for Segment is also enabled.

Then, the Custom Dimension 2 will have the next column names in our tables as;

COD_DEST2 = Element code
COD_DEST2_CTP = Code of the Entity element used as counterparty for IC figures adjsutment.

Also we'll have;

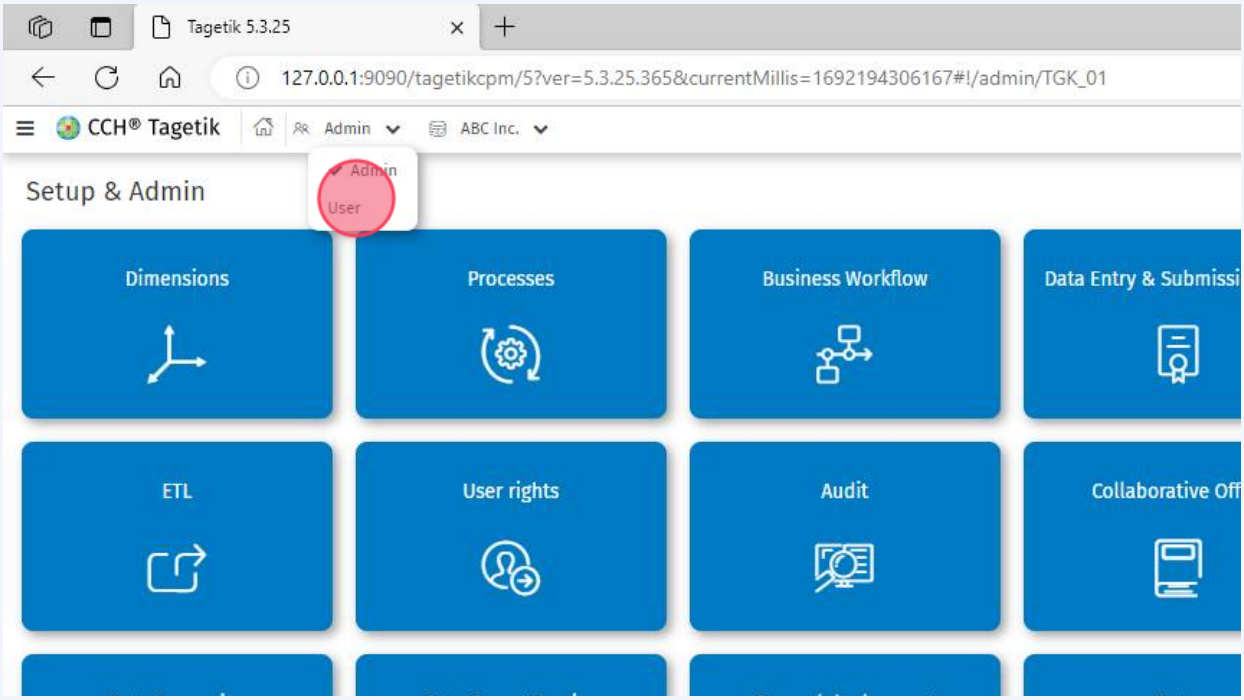
COD_AZI_CTP_SEGMENT = Segment CTP Entity Code
COD_DEST2_CTP_SEGMENT = Segment CTP Custom dimension 2

12 The system shall display the information as follows;



COD_SCENARI	COD_PERIOD	NUM_RETTIFICA	COD_AZIENC	COD_CONT	COD_DES	COD_CATEGOR	COD_AZI_CT	COD_DEST2_CT	COD_AZI_CTP_SEGMEN	COD_DEST2_CTP_SEGMEN	COD_VALUT	IMPORTO
2022ACT	12	ELICTP_080_P01_EN_00_EN_15_USD	EN_15	20010	PD_010	080	EN_00	PD_500	EN_00		USD	95000
2022ACT	12	ELICTP_080_E02_EN_00_EN_15_USD	EN_15	85015	PD_010	080	EN_00	PD_500	EN_00		USD	-95000
2022ACT	12	ELICTP_080_E01_EN_00_EN_15_USD	EN_00	50021	PD_500	080	EN_15	PD_010	EN_15		USD	95000
2022ACT	12	ELICTP_080_P01_EN_00_EN_15_USD	EN_00	10020	PD_500	080	EN_15	PD_010	EN_15		USD	-95000

13 Go to mode "User"

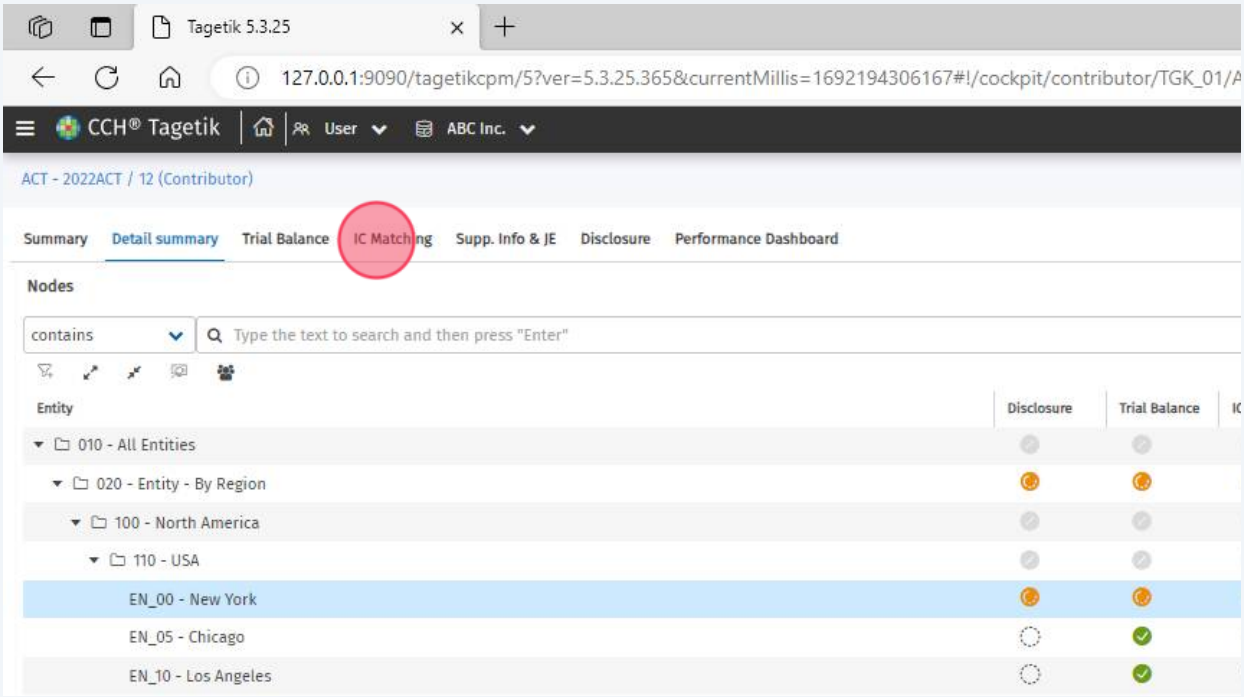


14 Select Close & Consolidation Process

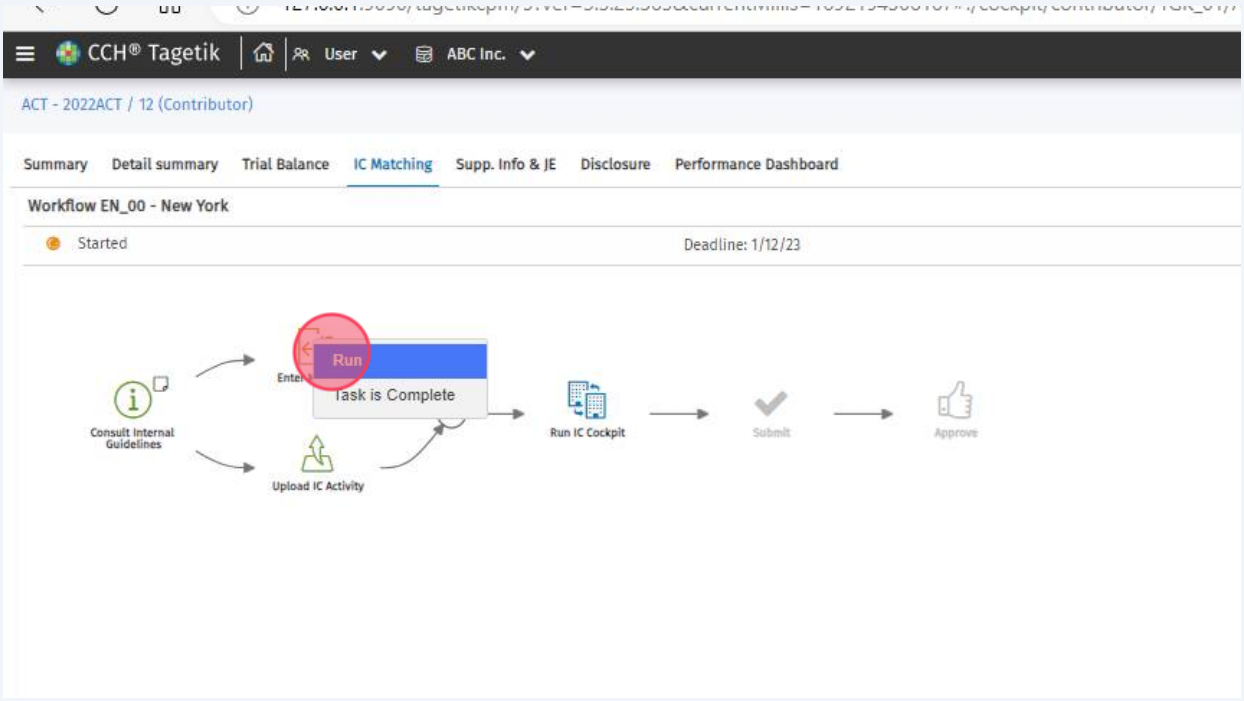


Scenario: 2022ACT
Periode: 12
Entity: EN_00

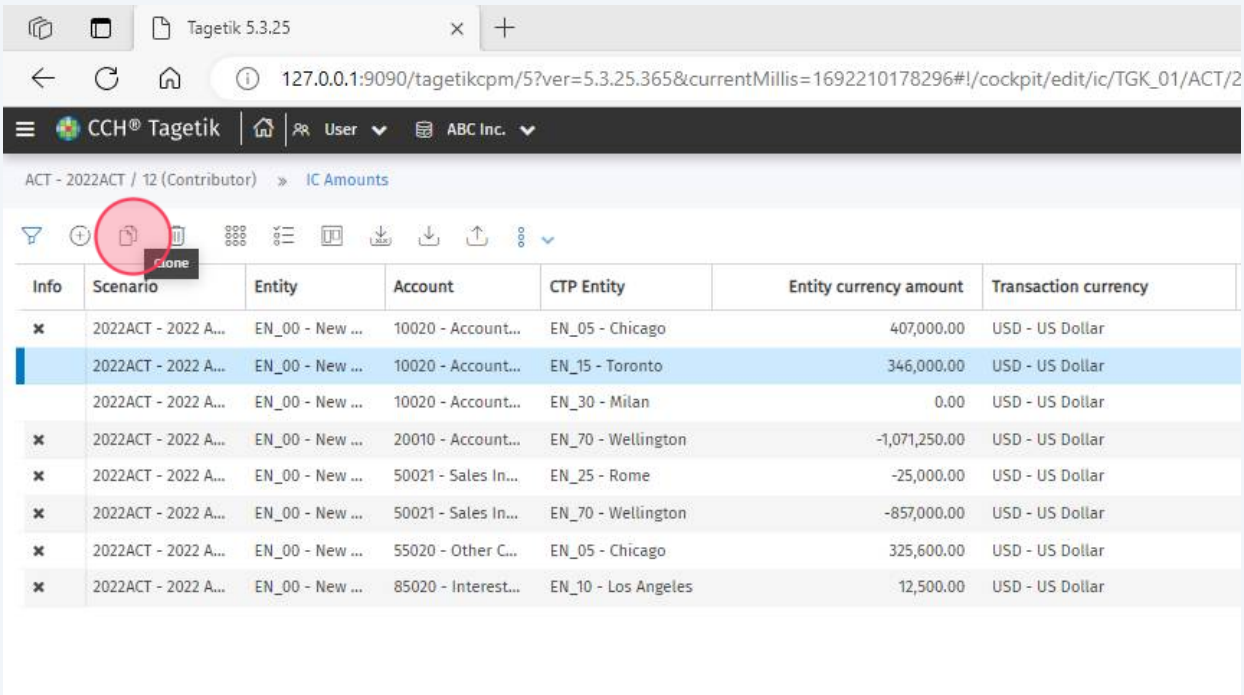
15 From the "detail sumarry" tab select the entity you want to work with and then go to the "IC matching" tab.



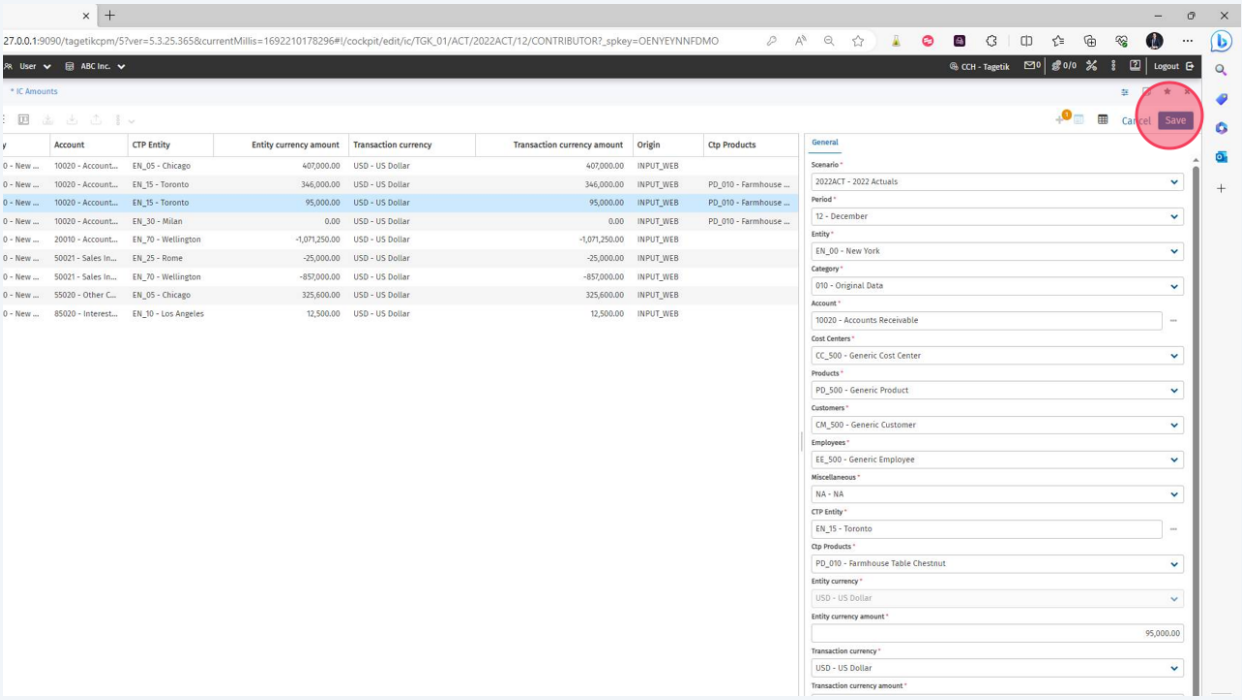
16 Click Run to "Enter IC Activity" to post the interco movements



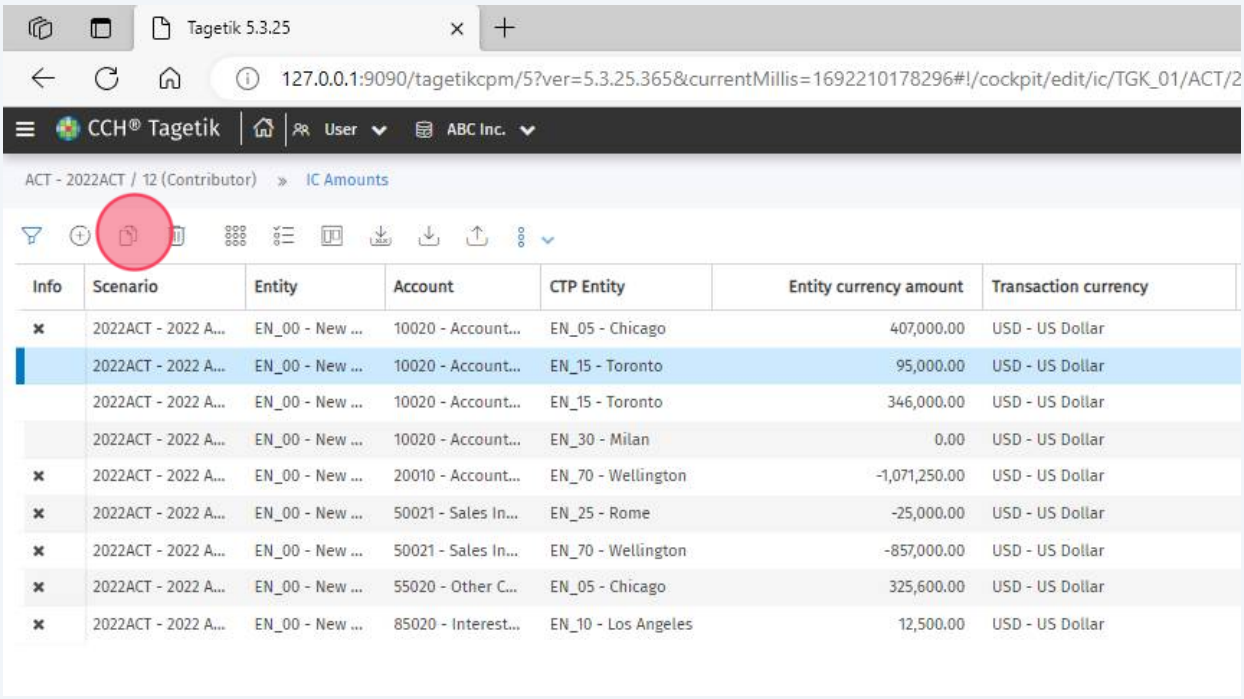
17 Select "clone" to take all the same fields. Only edit the ones that are necessary.



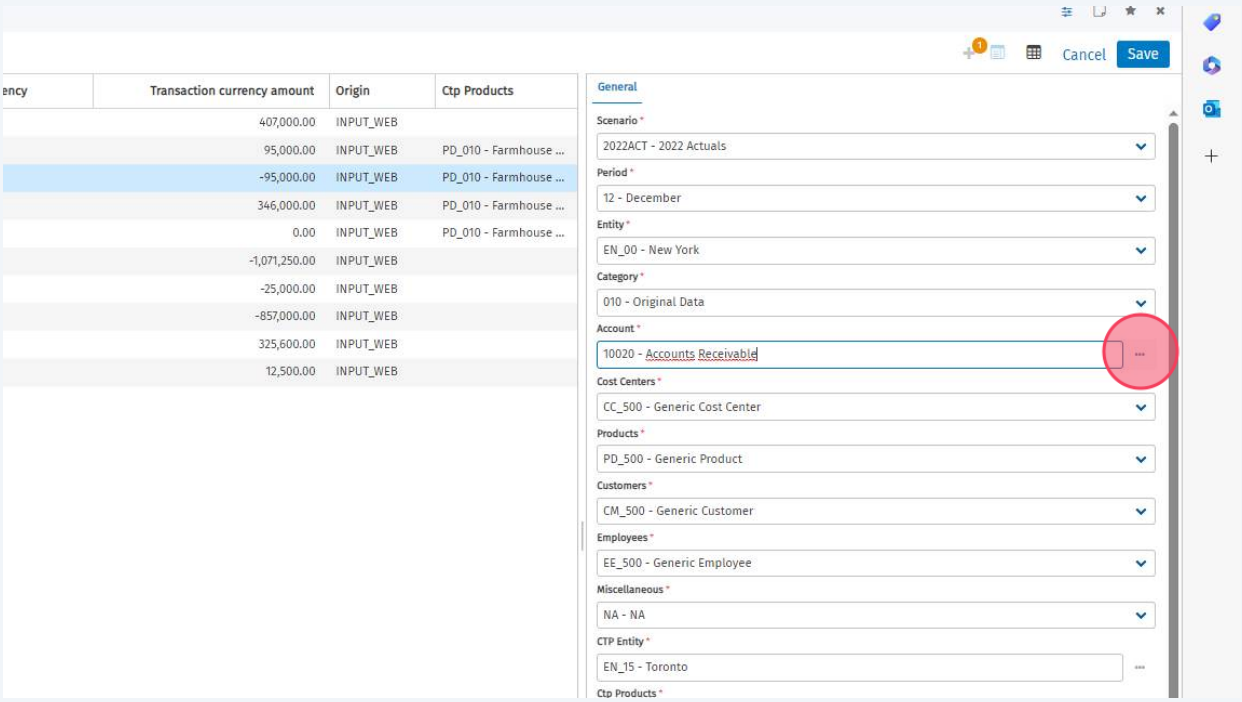
18 After entering all data in the "General" tab, go and save.



19 Select "clone" to take all the same fields and assign the second line. Edit only those that are necessary.

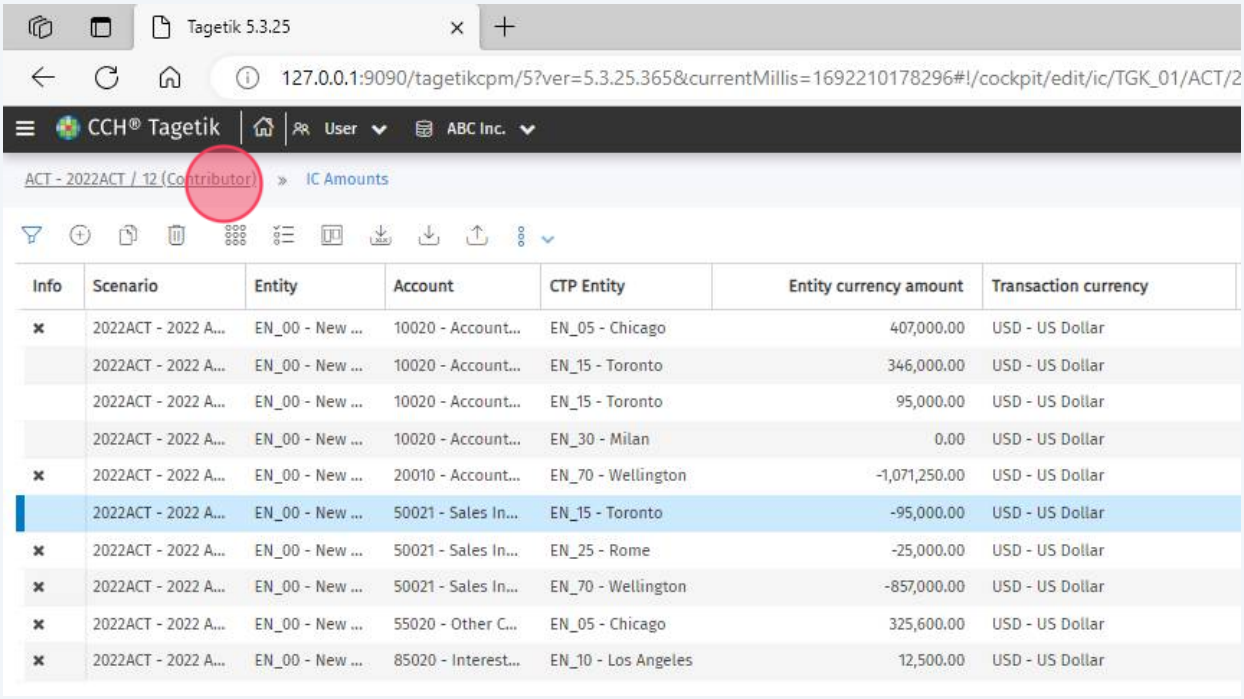


20 After entering all data in the "General" tab, go and save.



Return to the Scenario/Contributor Period to choose the counterpart entity where the items will be entered.

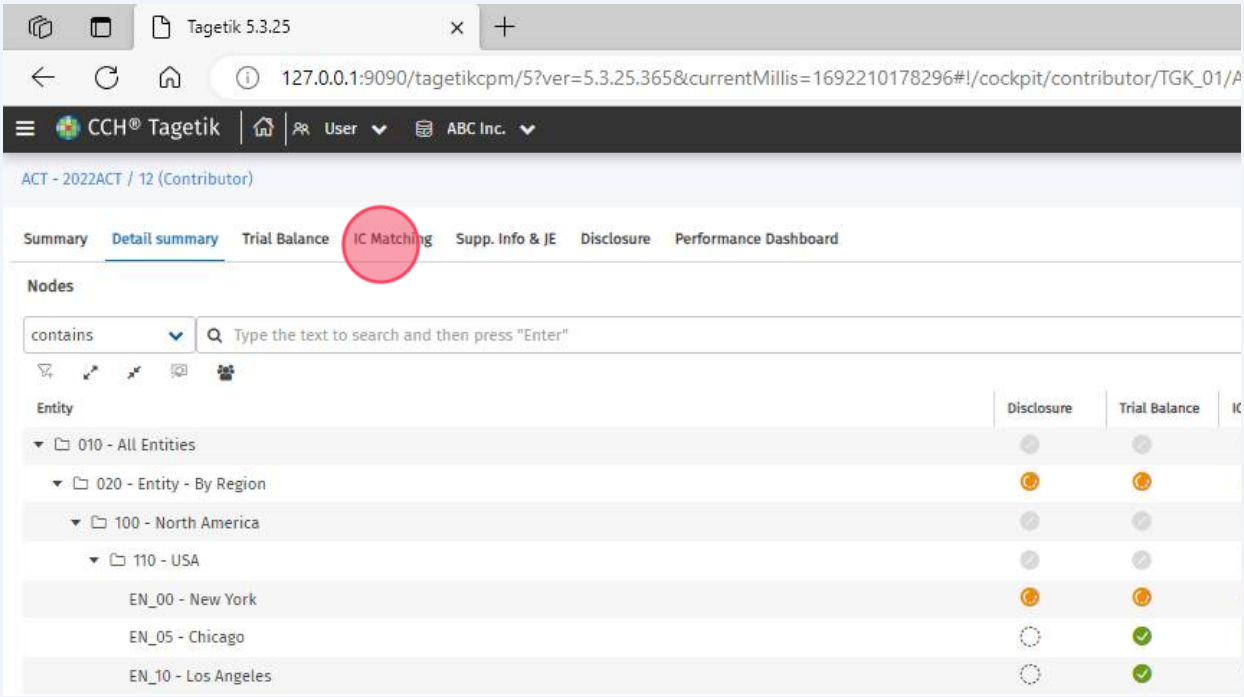
21 Click "ACT - 2022ACT / 12 (Contributor)"



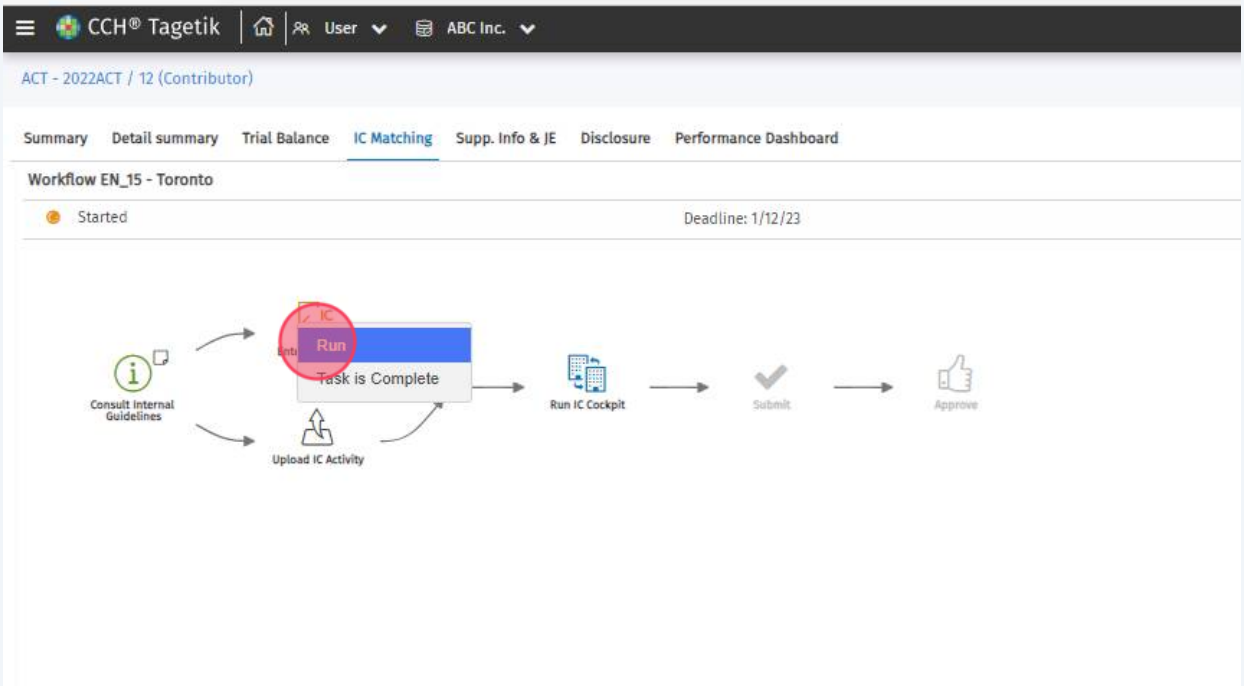
Info	Scenario	Entity	Account	CTP Entity	Entity currency amount	Transaction currency
✖	2022ACT - 2022 A...	EN_00 - New ...	10020 - Account...	EN_05 - Chicago	407,000.00	USD - US Dollar
	2022ACT - 2022 A...	EN_00 - New ...	10020 - Account...	EN_15 - Toronto	346,000.00	USD - US Dollar
	2022ACT - 2022 A...	EN_00 - New ...	10020 - Account...	EN_15 - Toronto	95,000.00	USD - US Dollar
	2022ACT - 2022 A...	EN_00 - New ...	10020 - Account...	EN_30 - Milan	0.00	USD - US Dollar
✖	2022ACT - 2022 A...	EN_00 - New ...	20010 - Account...	EN_70 - Wellington	-1,071,250.00	USD - US Dollar
	2022ACT - 2022 A...	EN_00 - New ...	50021 - Sales In...	EN_15 - Toronto	-95,000.00	USD - US Dollar
✖	2022ACT - 2022 A...	EN_00 - New ...	50021 - Sales In...	EN_25 - Rome	-25,000.00	USD - US Dollar
✖	2022ACT - 2022 A...	EN_00 - New ...	50021 - Sales In...	EN_70 - Wellington	-857,000.00	USD - US Dollar
✖	2022ACT - 2022 A...	EN_00 - New ...	55020 - Other C...	EN_05 - Chicago	325,600.00	USD - US Dollar
✖	2022ACT - 2022 A...	EN_00 - New ...	85020 - Interest...	EN_10 - Los Angeles	12,500.00	USD - US Dollar

Scenario: 2022ACT
Periode: 12
Entity: EN_15

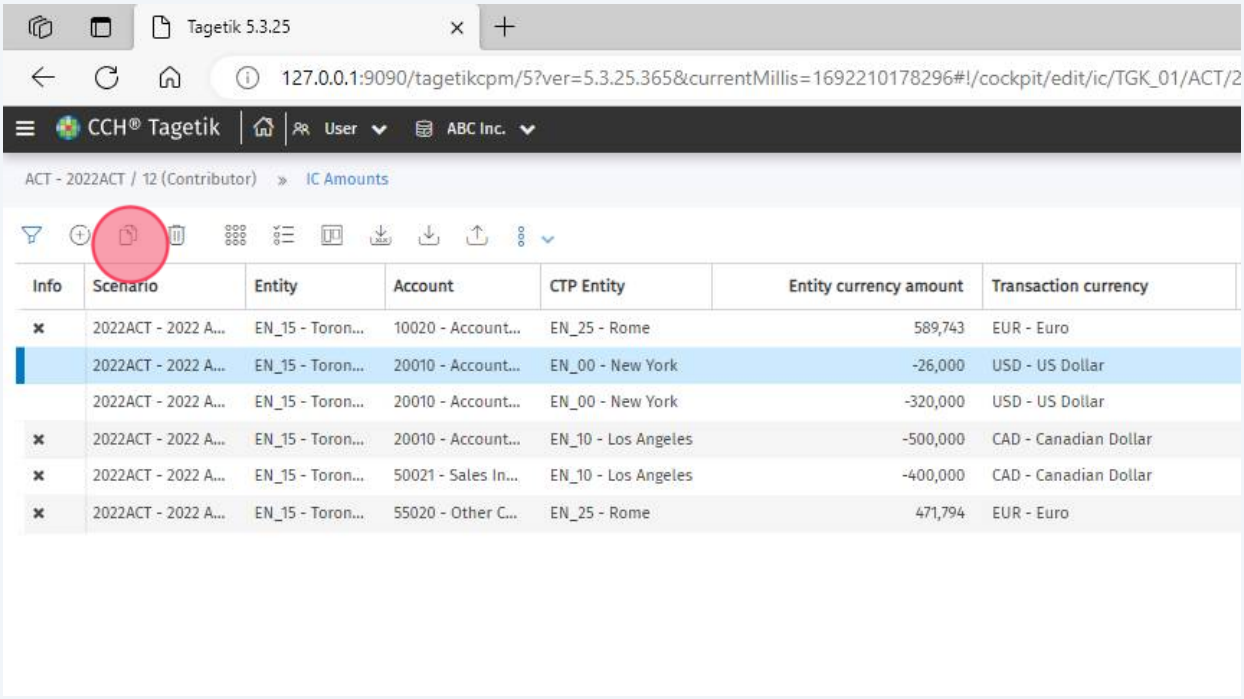
22 From the "detail sumarry" tab select the entity you want to work with and then go to the "IC matching" tab.



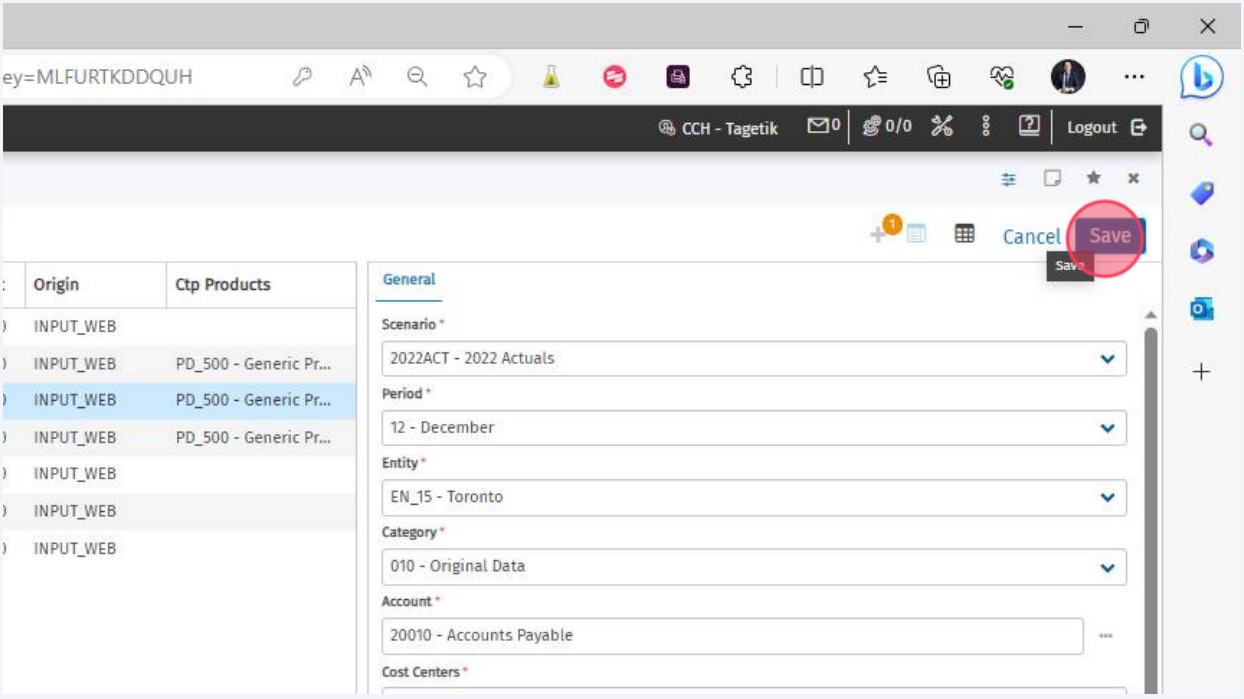
23 Click Run to "Enter IC Activity" to post the interco movements. Counterparty.



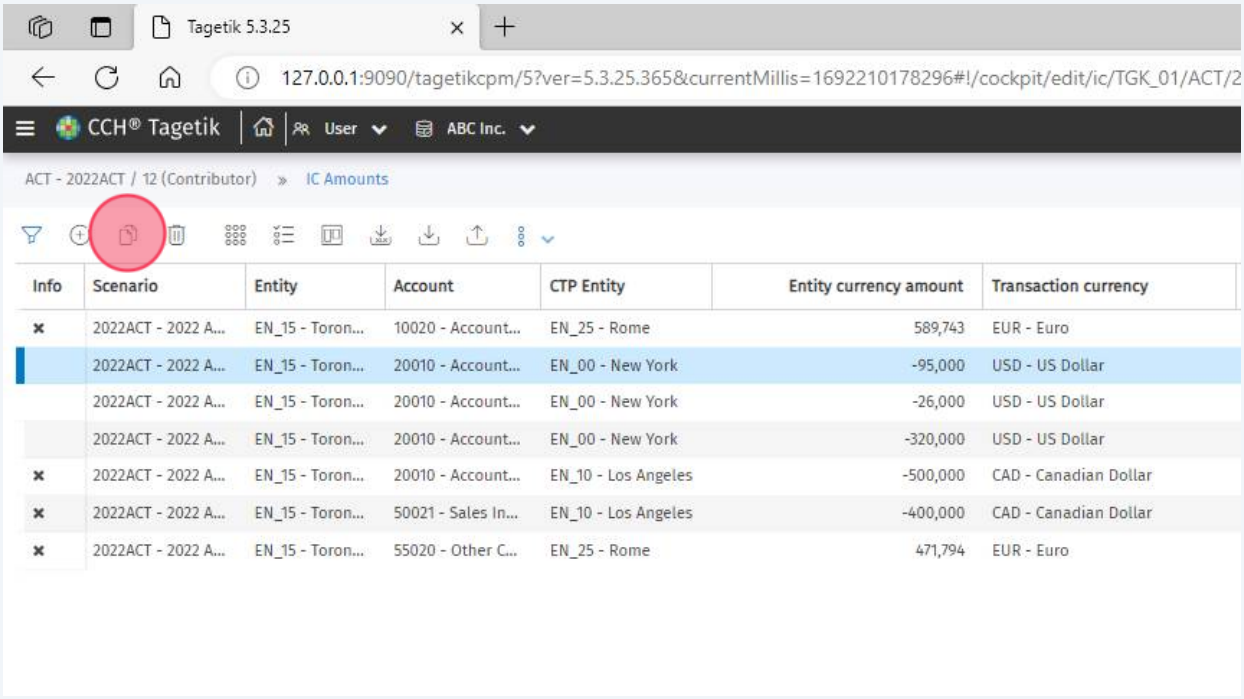
24 Select "clone" to take all the same fields and assign. Edit only those that are necessary.



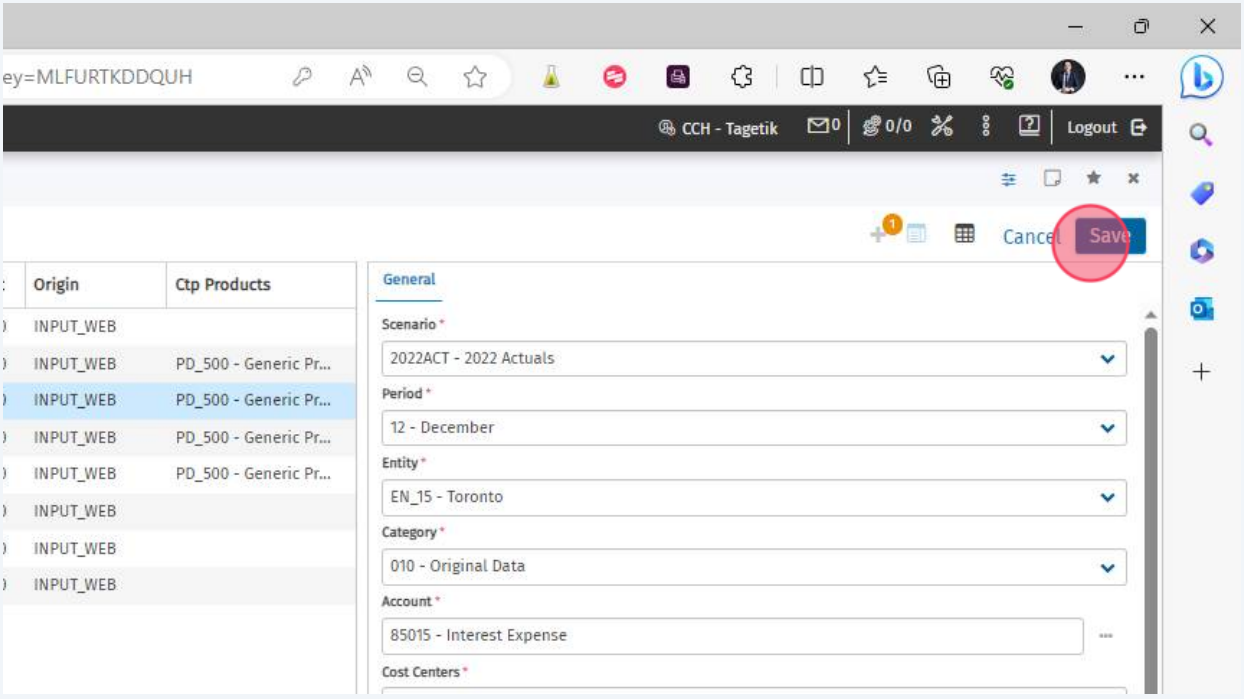
25 After entering all data in the "General" tab, go and save.



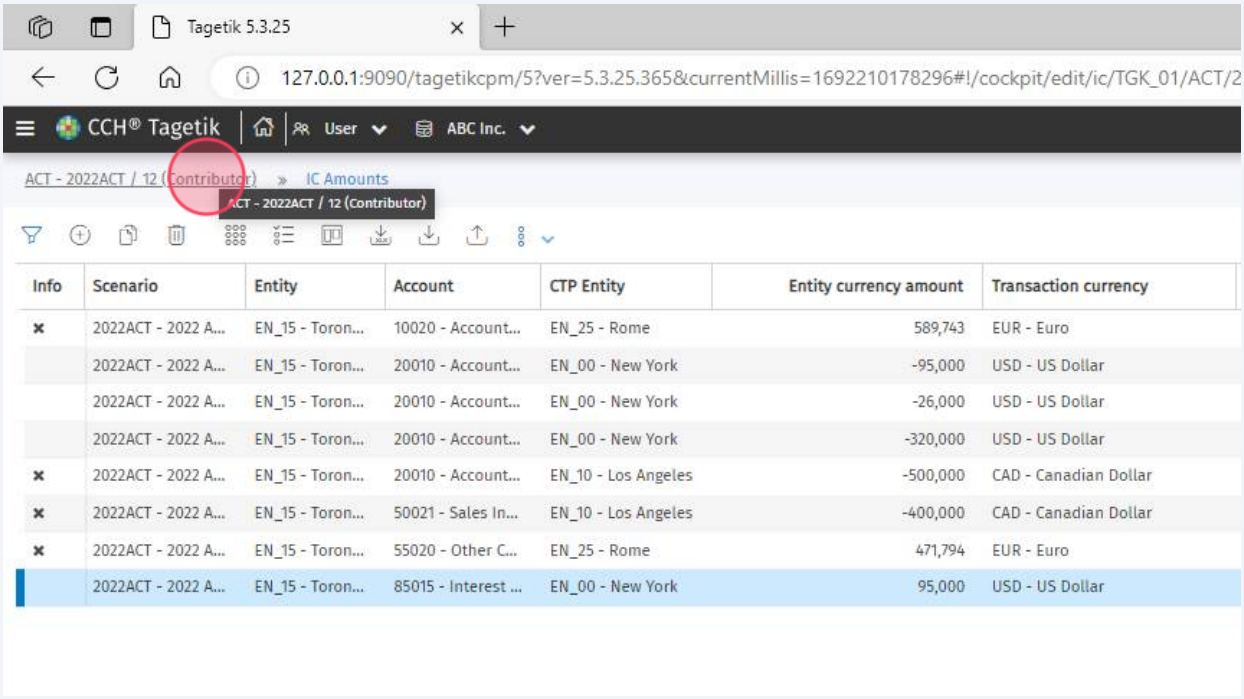
26 Select "clone" to take all the same fields and assign the second line. Edit only those that are necessary.



27 After entering all data in the "General" tab, go and save.



28 Return to "ACT - 2022ACT / 12 (Contributor)"

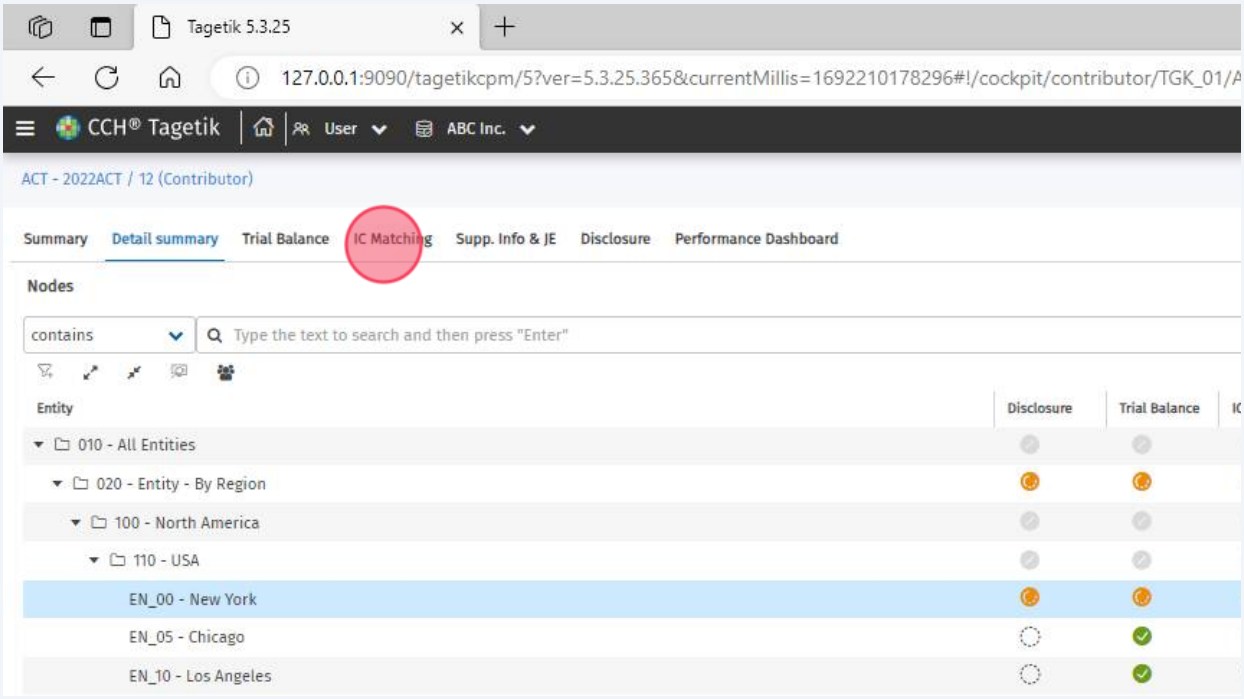


Info	Scenario	Entity	Account	CTP Entity	Entity currency amount	Transaction currency
✖	2022ACT - 2022 A...	EN_15 - Toron...	10020 - Account...	EN_25 - Rome	589,743	EUR - Euro
	2022ACT - 2022 A...	EN_15 - Toron...	20010 - Account...	EN_00 - New York	-95,000	USD - US Dollar
	2022ACT - 2022 A...	EN_15 - Toron...	20010 - Account...	EN_00 - New York	-26,000	USD - US Dollar
	2022ACT - 2022 A...	EN_15 - Toron...	20010 - Account...	EN_00 - New York	-320,000	USD - US Dollar
✖	2022ACT - 2022 A...	EN_15 - Toron...	20010 - Account...	EN_10 - Los Angeles	-500,000	CAD - Canadian Dollar
✖	2022ACT - 2022 A...	EN_15 - Toron...	50021 - Sales In...	EN_10 - Los Angeles	-400,000	CAD - Canadian Dollar
✖	2022ACT - 2022 A...	EN_15 - Toron...	55020 - Other C...	EN_25 - Rome	471,794	EUR - Euro
	2022ACT - 2022 A...	EN_15 - Toron...	85015 - Interest ...	EN_00 - New York	95,000	USD - US Dollar

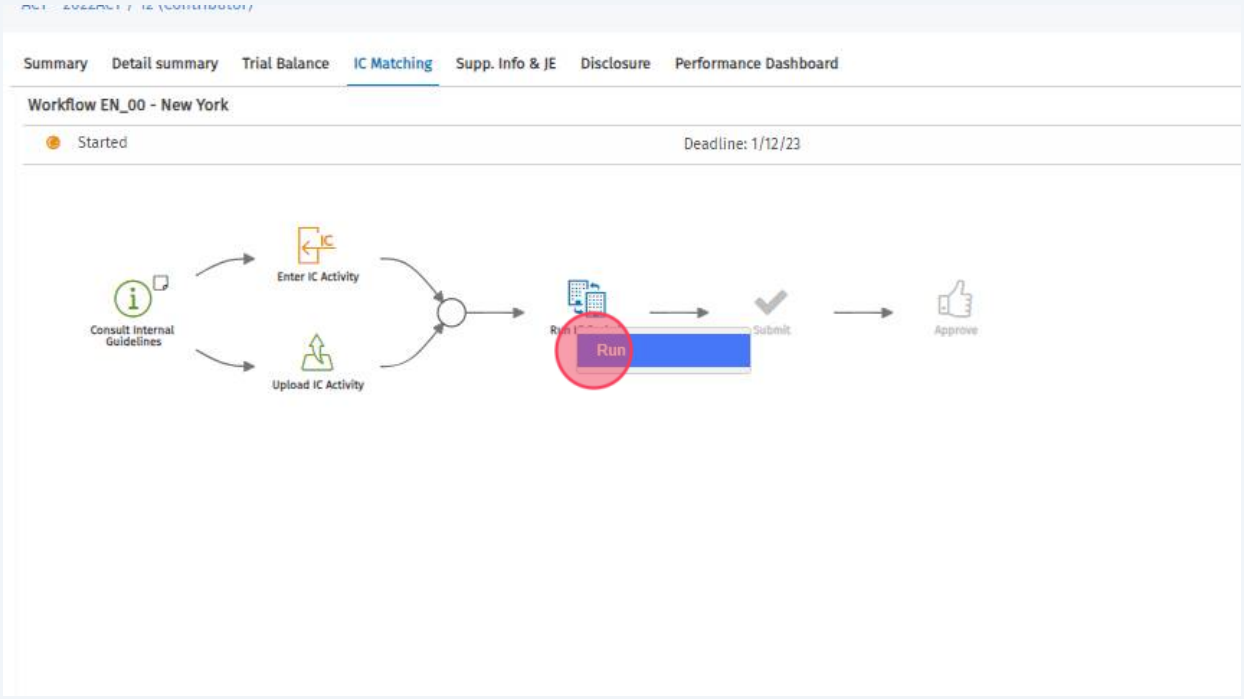
Scenario: 2022ACT
Periode: 12
Entity: EN_00

Go To » IC Cockpit to Run

29 Again take up the initial entity EN_00 in the "summary tab" and select "IC matching" to follow the step of running the IC Cockpit.

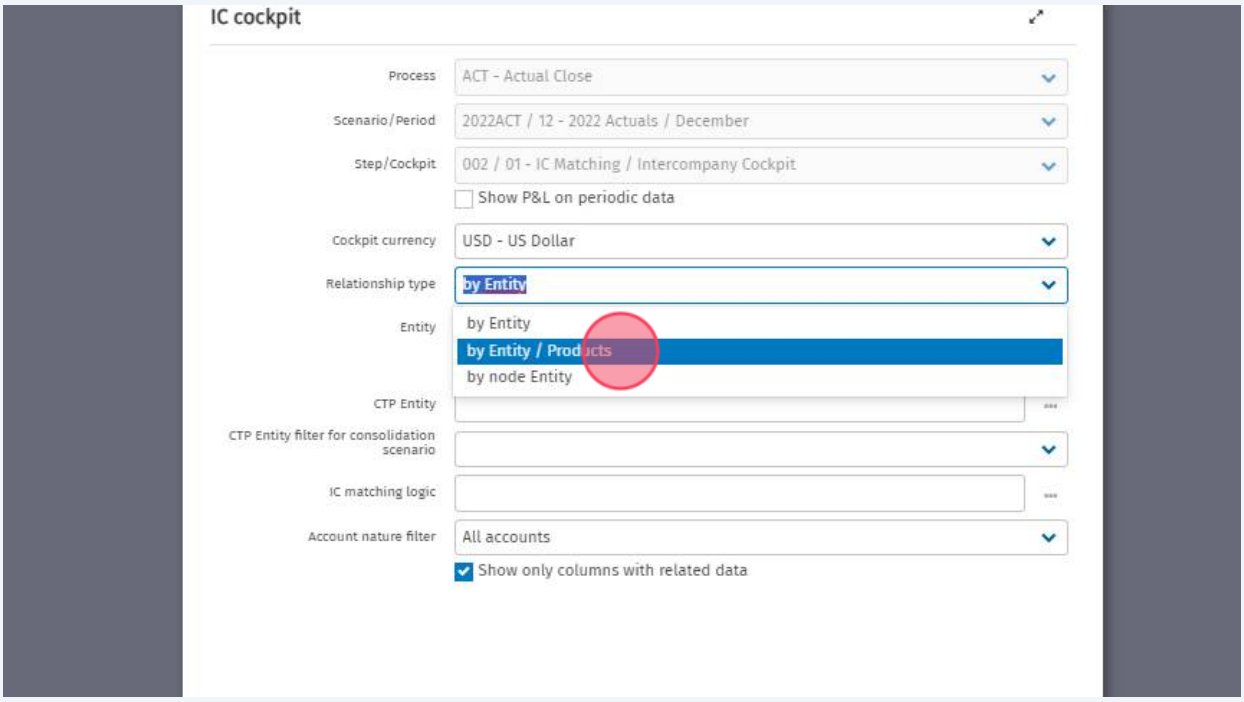


30 Click "Run IC Cockpit"

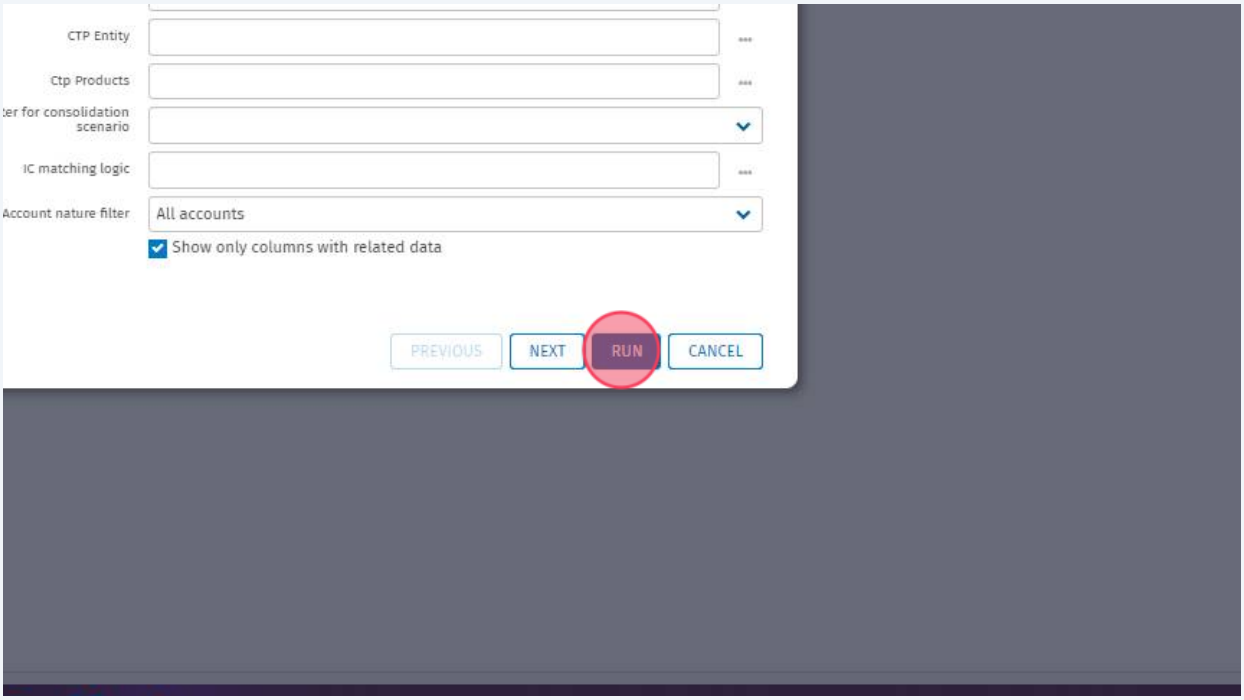


At this point, we can establish if the crossing that our IC Cockpit is going to perform will be at the "entity leve"l only or if for some reason in our "custom dimension 2", we have assigned elements that will be fundamental for elimination in the consolidation at "entity level" and "custom dimension 2".

31 For this case, we choose option two: by Entity/ Products

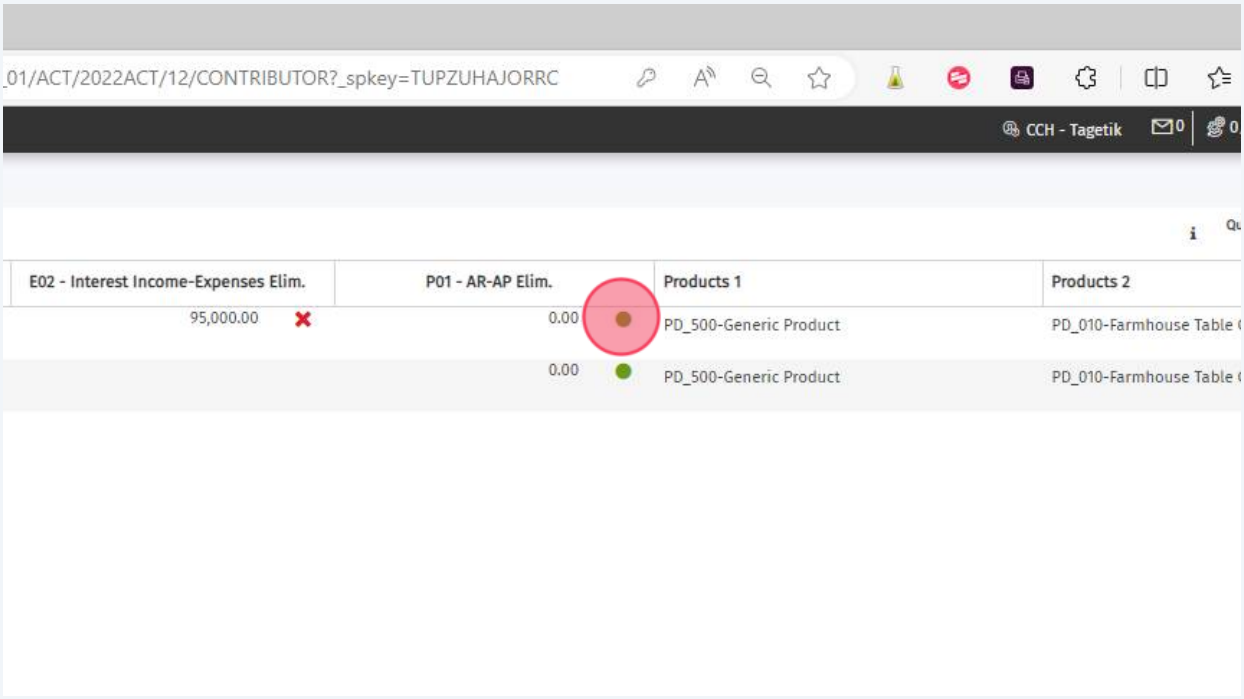


32 Click "RUN"

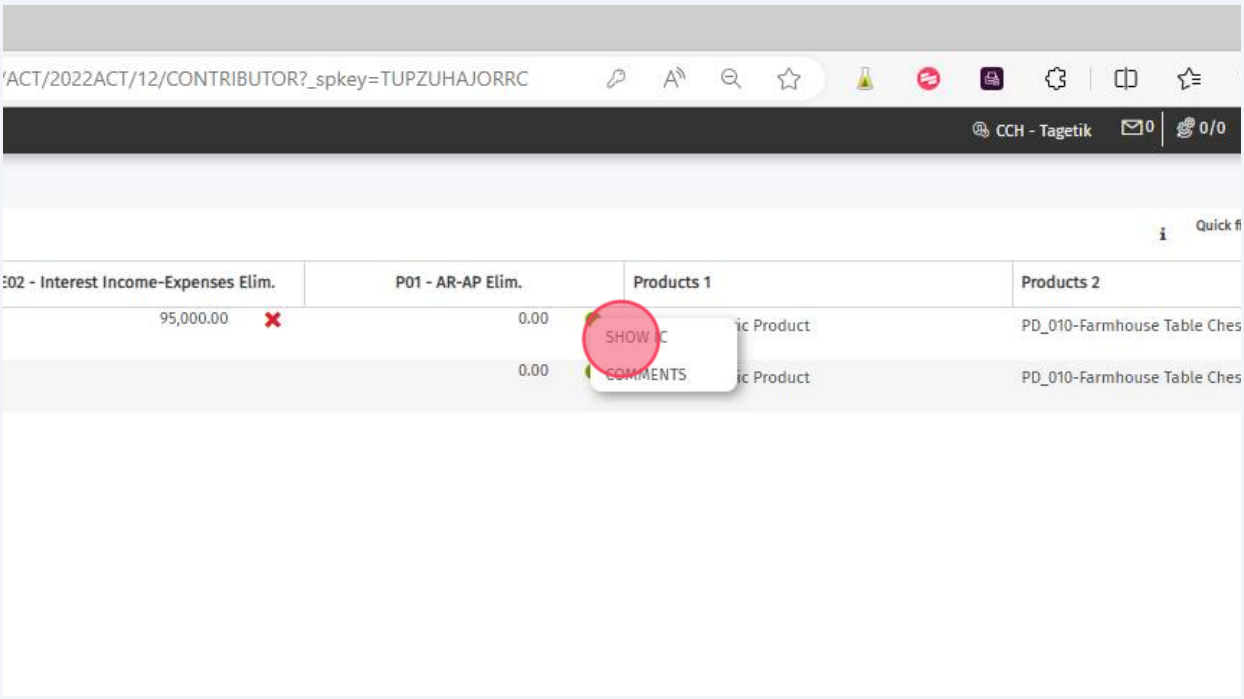


View of the IC Cockpit for each of the rules

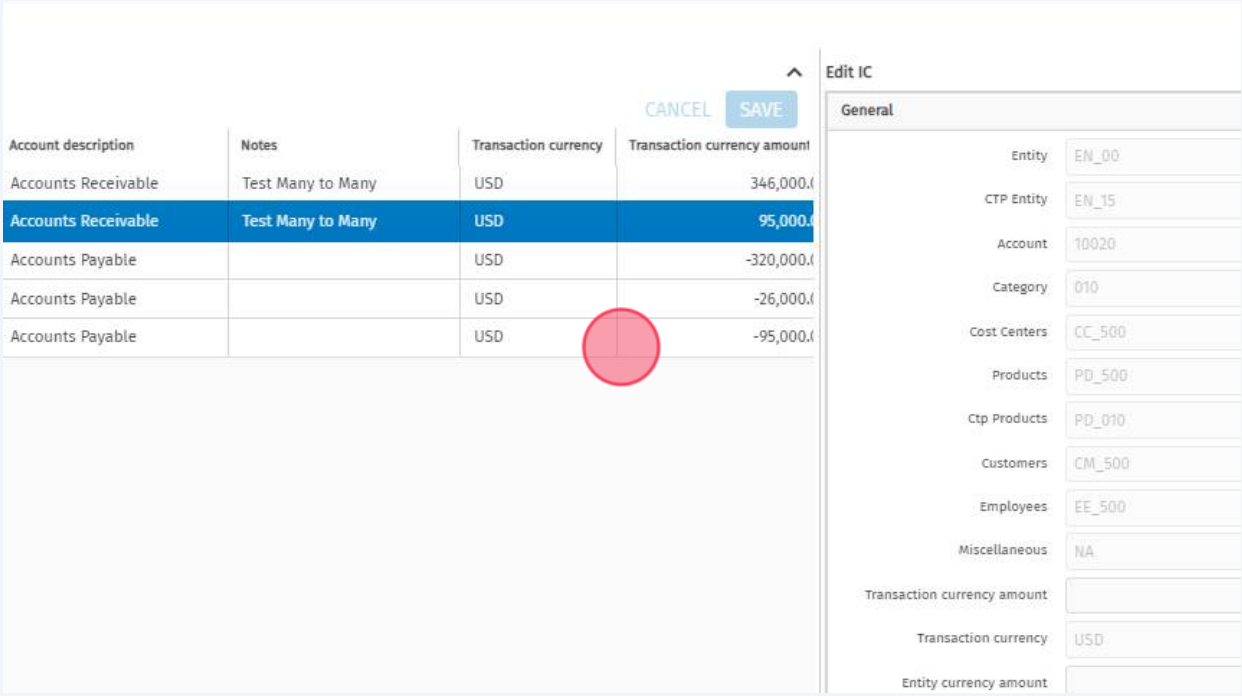
33 we can see that the rule (AR-AP Elim) is balanced showing in green a value of zero.



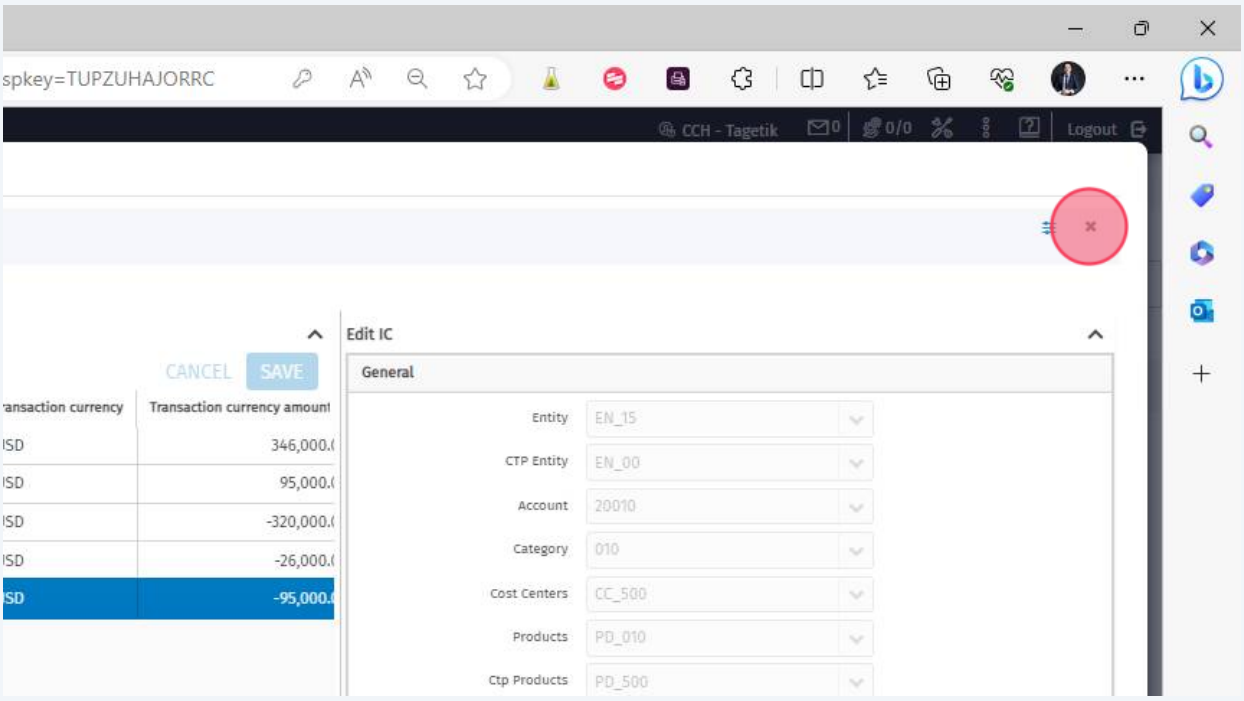
34 Click "SHOW IC COMMENTS"



35 We can visualise the registration previously made by 95,000

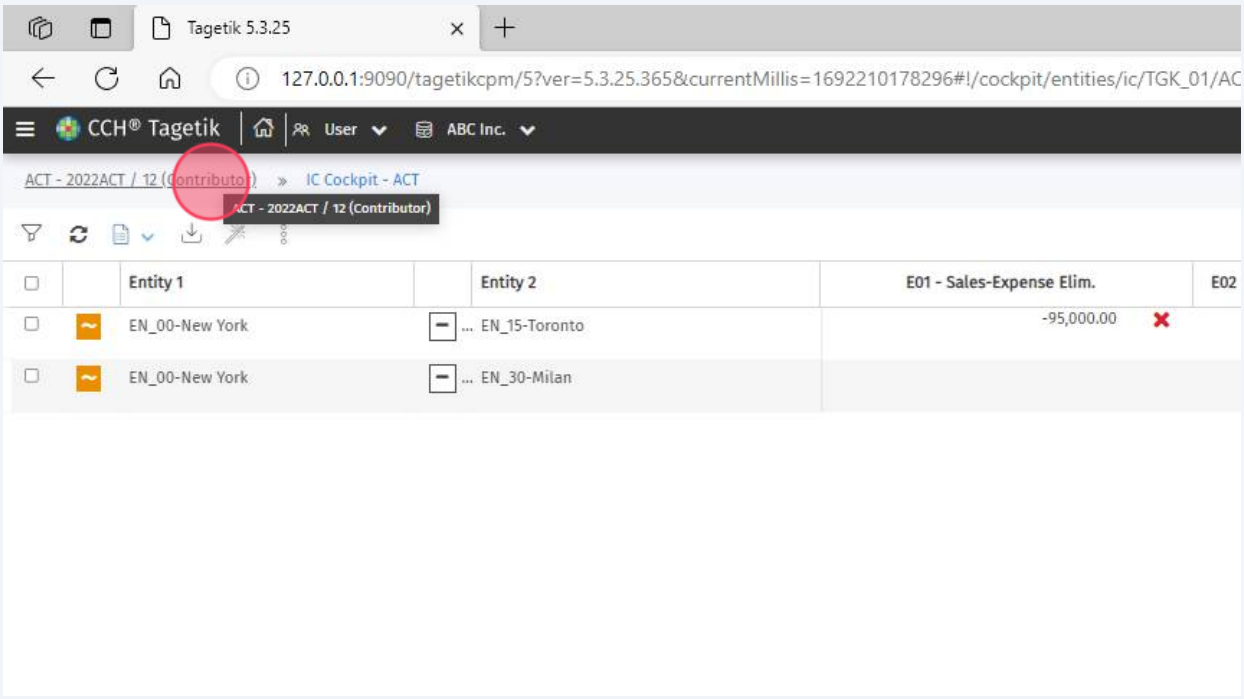


36 Click "x" to close.

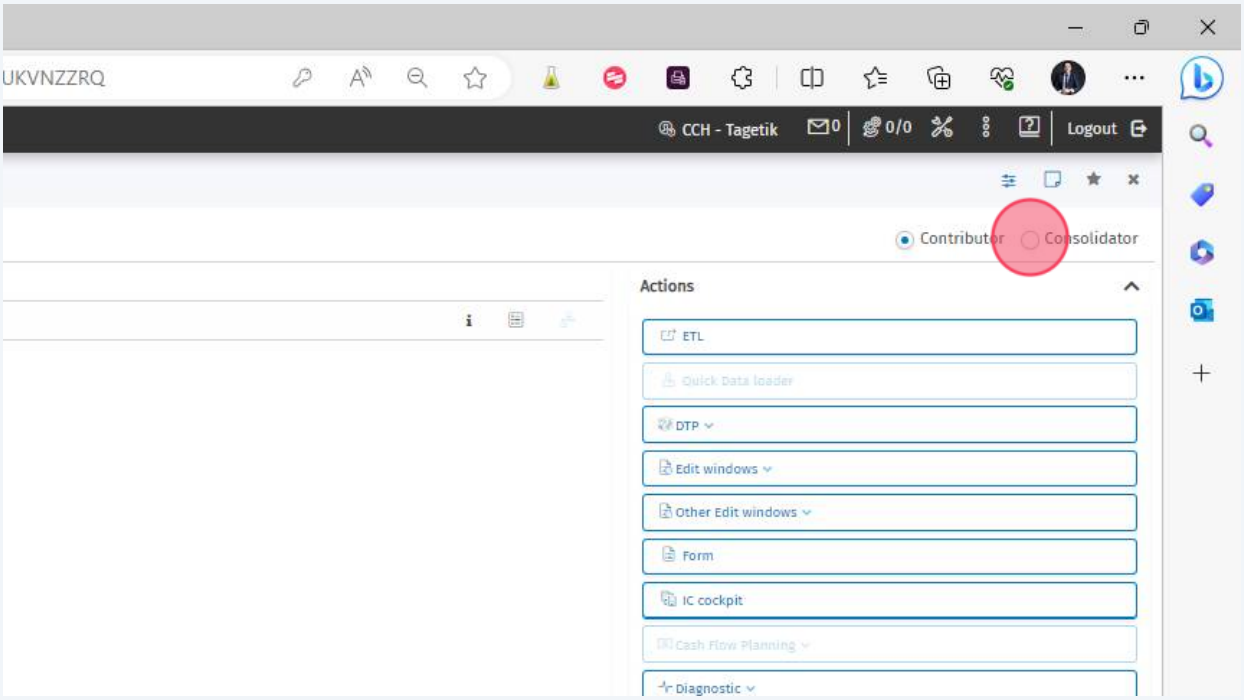


Back to ""ACT - 2022ACT / 12 (Contributor)" to run the Consolidation

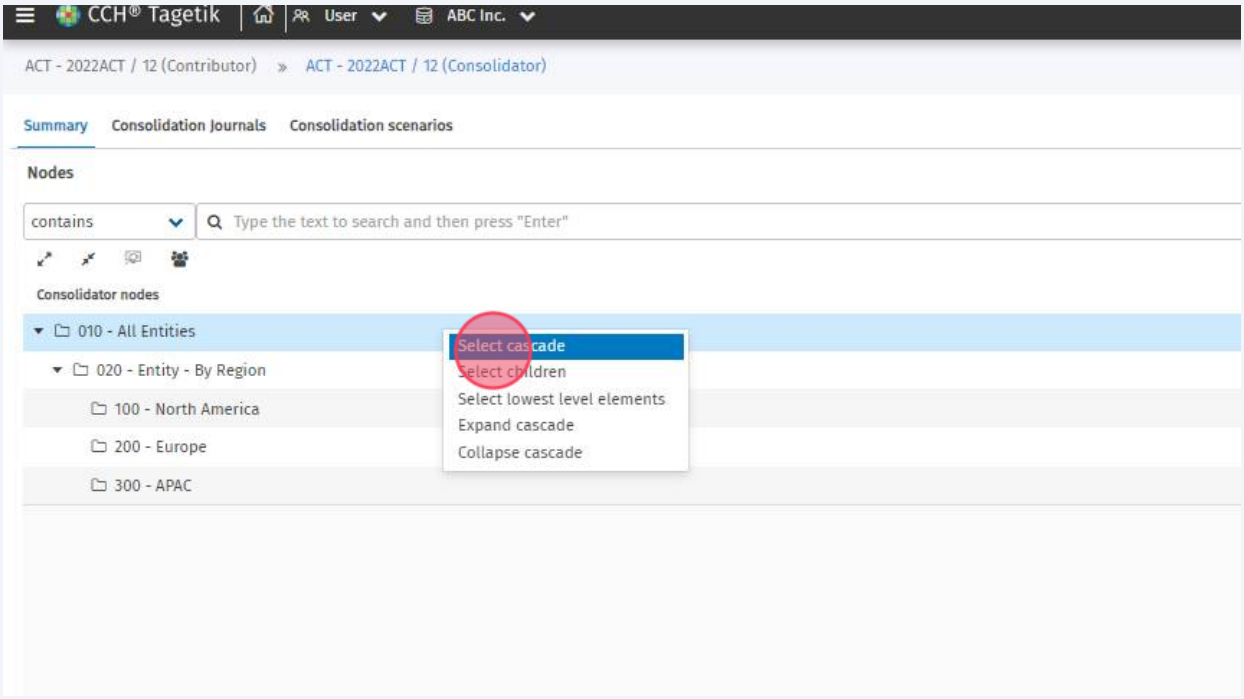
37 Click "ACT - 2022ACT / 12 (Contributor)"



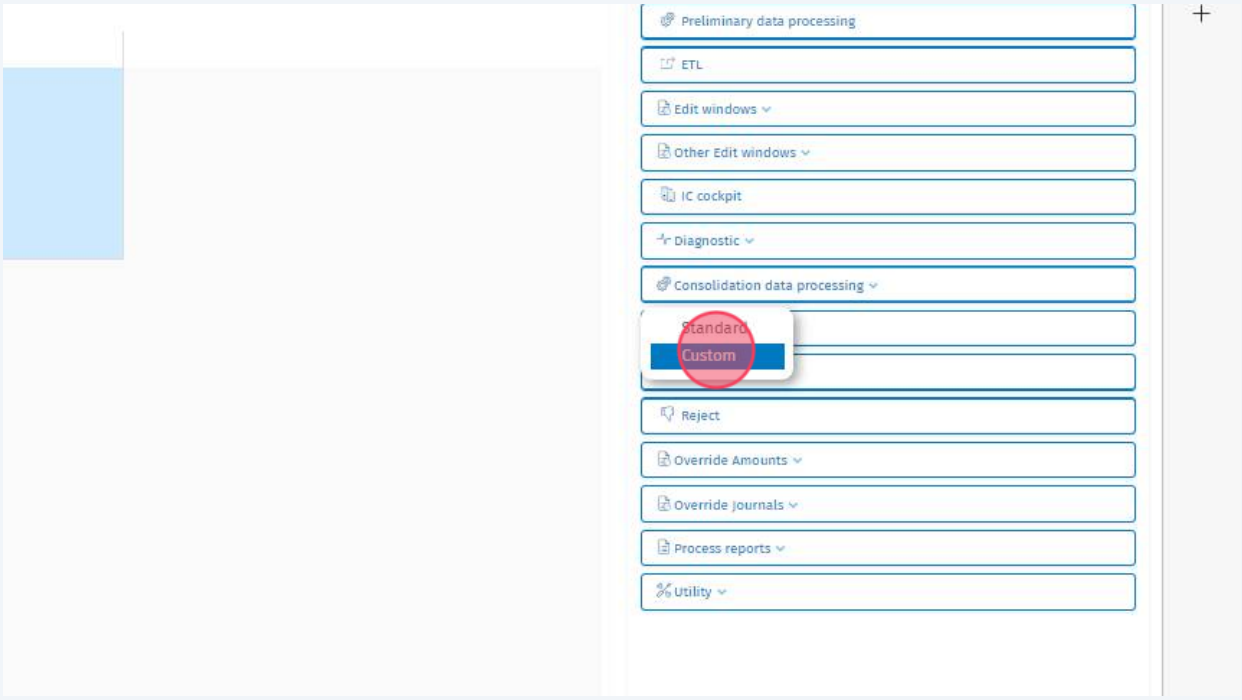
38 Click "Consolidator"



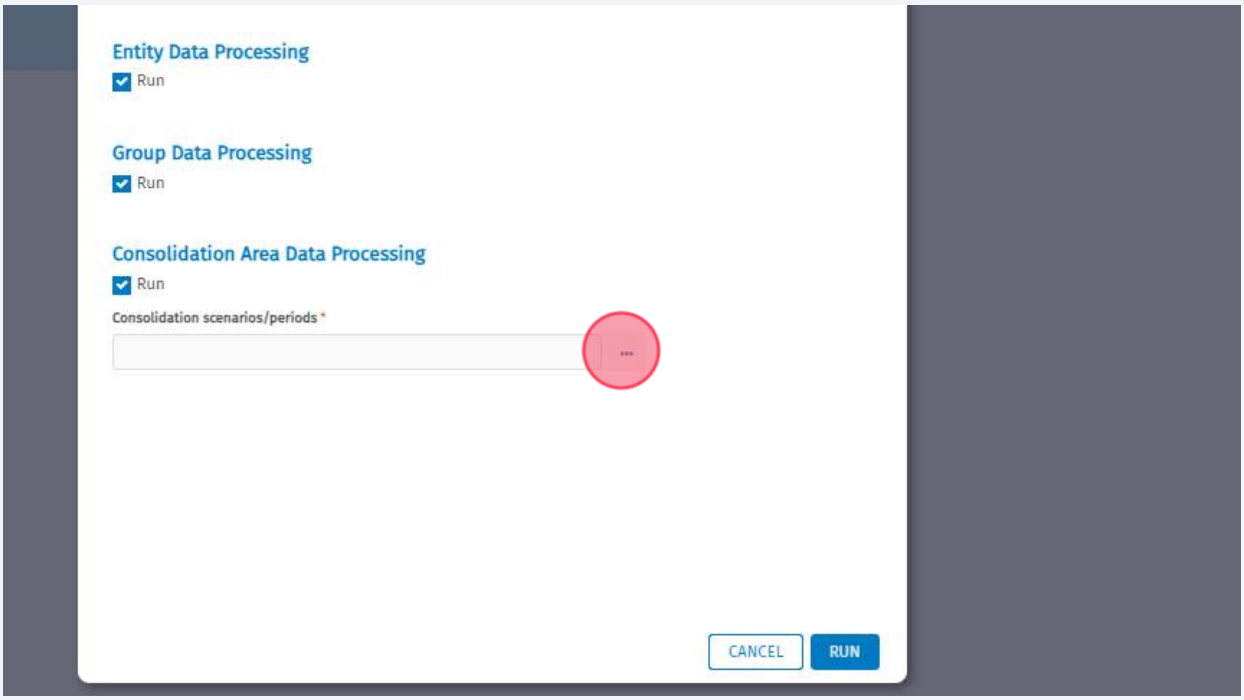
39 Select the node of all entities and right click on the first option "Select Cascade ".



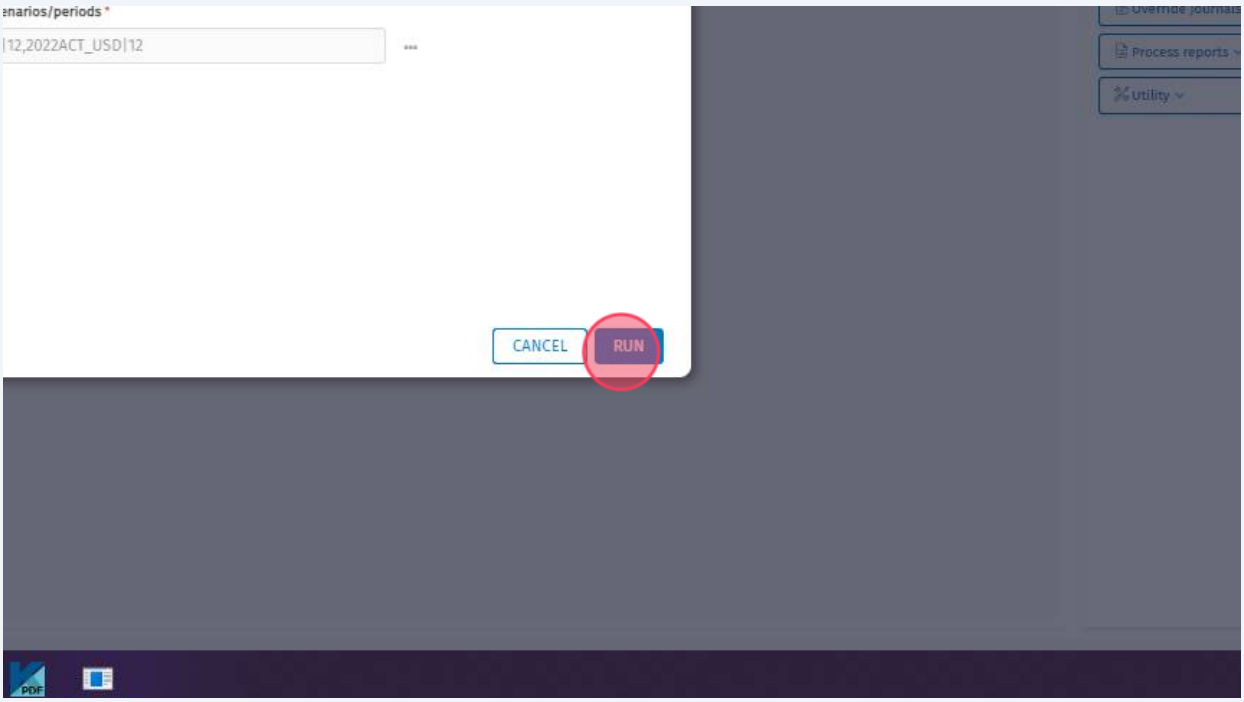
40 Click Consolidation data processing »» "Custom"



41 Click to select the "consolidation scenarios" to be executed

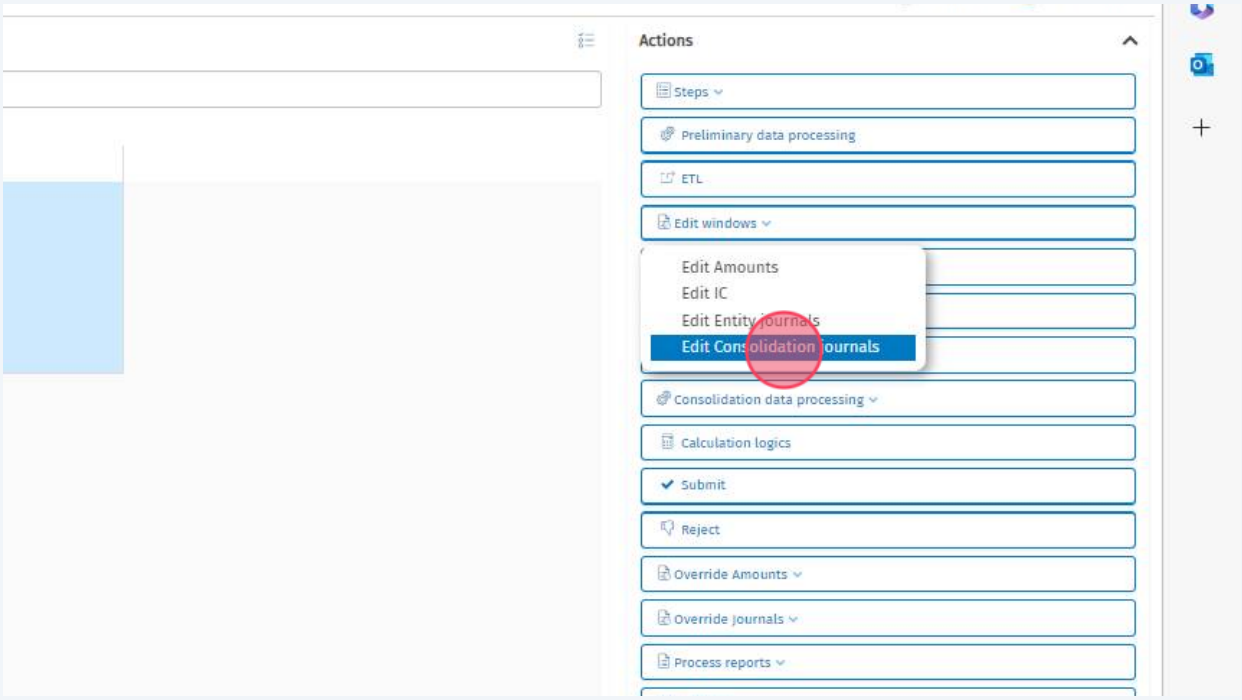


42 Click "RUN"

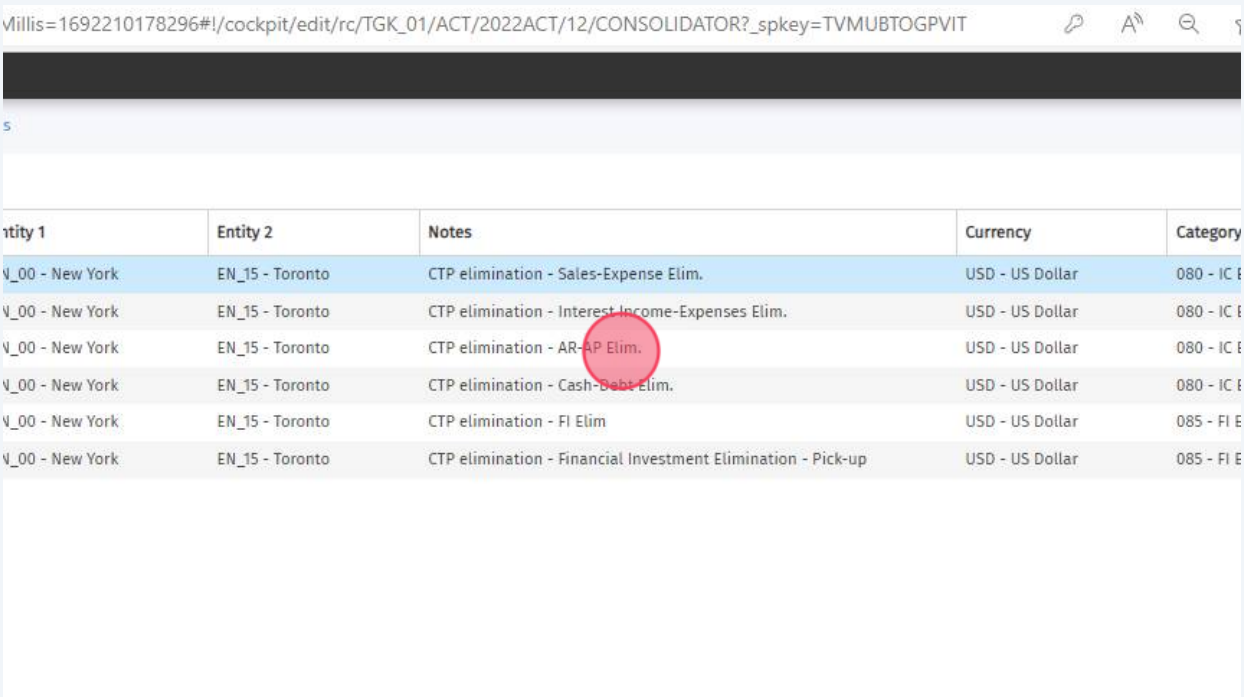


Display Consolidation Journals

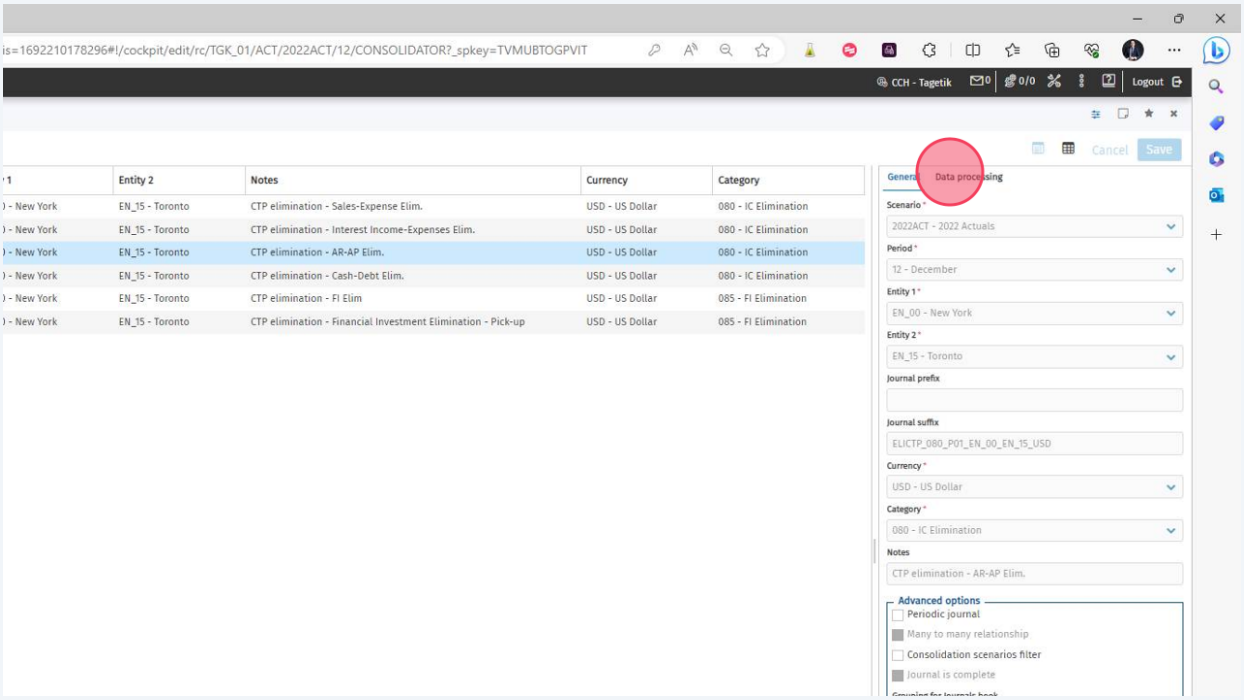
43 Click "Edit windows" »»» "Edit Consolidation journals"



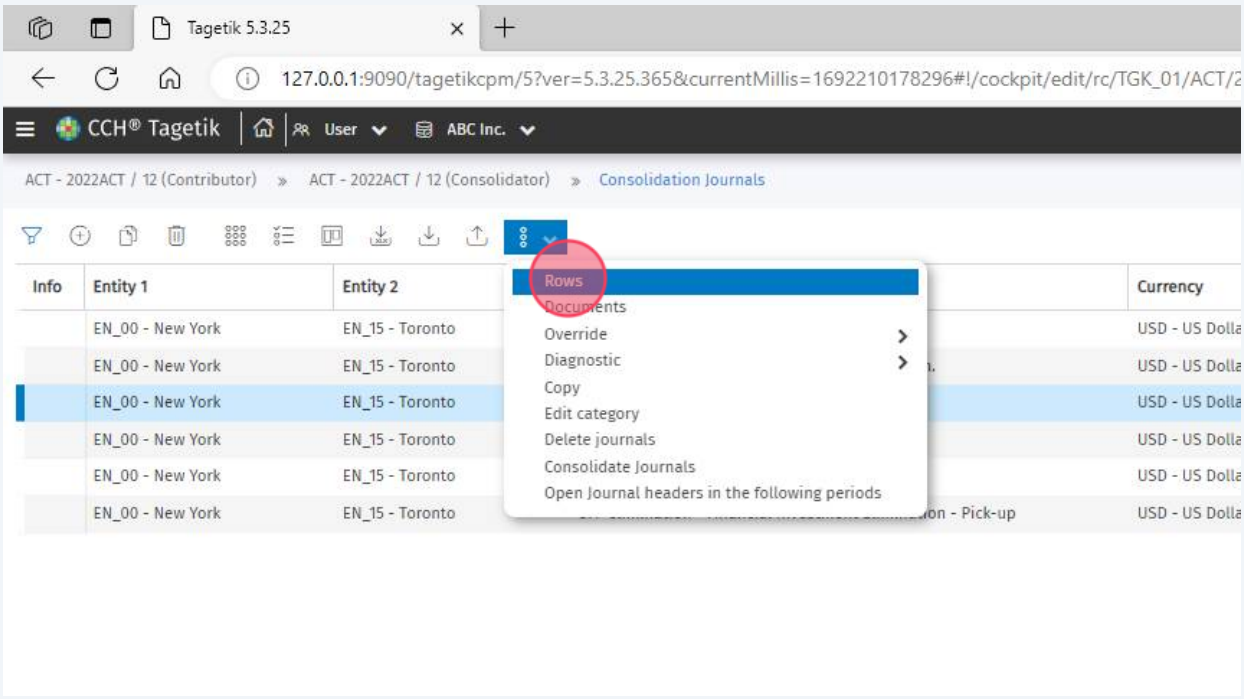
44 The field is not editable if the journal is generated by the Ctp eliminations (all journals whose journal number starts with prefix "ELICTP_" are considered to be journals generated by the Ctp eliminations). Select CTP elimination - AR-AP Elim.



45 Click "Data processing" tab

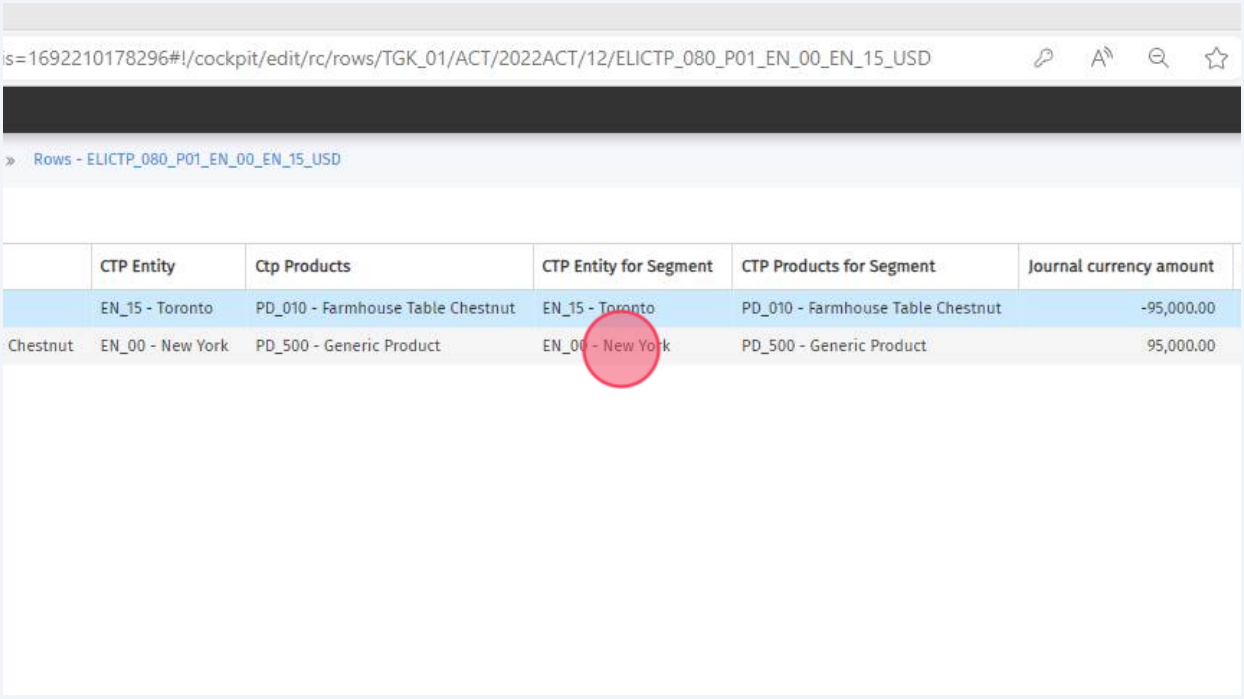


46 Click "Rows"



In order for the system to generate the automatic elimination journals, it is necessary to check the option "ctp elimination logic" from the IC Matching and Eliminations Logics system configuration.

47 Finally we can see that the log is balanced and deleted correctly as shown in the picture.



The Many to many relationship is enabled as there could be:

* Rows with Ctp Entity different from Output Entity
* Rows with Ctp Entity for segment different from Output Entity
* Rows with Entity / Custom dimension 2 pair different from header Entity / Custom dimension 2 (for Processes with Entity / Custom dimension 2 relationship type)

Custom Dimension 2. This is the only dimension that can be used as a counterparty dimension, other than the Company dimension.